MPS Limited (NSE: MPSLTD) — Institutional Business Monograph & Multi-Horizon Investment Dossier — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to MPS Limited (NSE: MPSLTD) — Institutional Business Monograph & Multi-Horizon Investment Dossier: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: MPS Limited (NSE: MPSLTD) — Institutional Business Monograph & Multi-Horizon Investment Dossier (IN)
Research Session Cutoff: 2026-11-12 • **Generated:** 13 Nov 2026, 06:25 PM PST
Core Verdict: WAIT_FOR_SUPPORT (WAIT_FOR_SUPPORT_PULLBACK; NO_NEW_ALLOCATION until ₹2,070.00–₹2,150.00 is tested)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (25,009 words • ~161 min listen)

CONTENTS

A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

Chapter 0	PROLOGUE
Chapter 1	CHAPTER I
Chapter 2	CHAPTER II
Chapter 3	CHAPTER III
Chapter 4	CHAPTER IV
Chapter 5	CHAPTER V
Chapter 6	CHAPTER VI
Chapter 7	CHAPTER VII
Chapter 8	CHAPTER VIII
Chapter 9	CHAPTER IX

SESSION PRICE

₹2,297.00

NEW CAPITAL VERDICT

WAIT_FOR_SUPPORT

CURRENT HOLDING ACTION

NOT HELD — NOT HELD (0 shares); no current holding to trim or exit.

STAGE POSTURE

Stage 3/Stage 4 boundary (ledger Stage 3 at ₹2,297.00; snapshot Stage 4 at the 13 Nov print ₹2,259.30)

VALUATION WATCH ZONE (CONDITIONAL)

₹2,070.00–2,150.00

12-MONTH SCENARIO RANGE

Bear ₹1,630.00 / Base ₹2,410.00 / Bull ₹3,310.00

PREFACE & CORE THESIS

MPS Limited turns manuscripts, textbooks and corporate training into finished digital products for the world's largest publishers. Its Research segment earns a 48% EBITDA margin, ten-year operating cash flow roughly equals profit, and the company carries no bank debt. Against that, the largest customer is 17.3% of revenue, goodwill and intangibles are 52.5% of assets, and generative AI is deflating the price of content production. At the ₹2,297.00 close of 12 November 2026 the expected 12-month return is between -1.9% and +6.2%, depending on the earnings basis. The verdict is WAIT_FOR_SUPPORT, with a ₹2,070 to ₹2,150 watch zone (only ₹2,070 clears 1.5:1 on both bases), a ₹2,005 invalidation level and 0% allocation today.

PROLOGUE

Chapter 0

> *"Underwriting Rule: grade the business first and the price second, because a great company bought at the wrong moment still hurts."*
>
> — PORTFOLIO DESK CHARTER

This monograph asks two questions in order. First: is MPS a good business? Second: is it a good purchase today? Most investors collapse the two into one and then wonder why a company they admired lost half its value while they held it. We keep them apart on purpose.

Start with the business. MPS began in 1970 as the Indian production unit of a British publisher and became the outsourcing partner that the world's largest scholarly publishers hand their manuscripts to. Picture a researcher in Munich submitting a paper: it goes through peer review, copy-editing, typesetting, tagging for search engines and publication on a journal platform, and a large share of that journey now runs on MPS's people and software. The company earns about ₹30 of EBITDA on every ₹100 of sales, converts that into cash almost one-for-one over ten years, and has no bank debt after repaying its Unbound Medicine loan this August.

Now the price. At ₹2,297 on 12 November, the shares trade at about 22.7 times last year's profit. That is neither cheap nor expensive against the last five years. It is cheap compared with the 42 times the market paid in March 2025, and dear compared with the 16 times it paid twelve months later. The reverse DCF says the market already assumes the company's free cash flow grows around 9% a year for a decade, which is below what MPS has delivered since FY21, so the price is not demanding. Why not buy, then?

Because the payoff has to be asymmetric before we put money to work, and at this price it is not. Our probability-weighted value is ₹2,440, a 6.2% gain, and our base value of ₹2,410 is only 5% above the price. The gain to that base value is a third of the loss to our invalidation level at ₹2,005. If the shares fall to the ₹2,070 to ₹2,150 zone, where the rising 200-day average and the last swing low sit, the arithmetic improves. At ₹2,070 it gives about five

rupees of reward for each rupee at risk on current earnings and 2.6 on year-end earnings. At ₹2,150 it gives 1.8 and 0.6, so we treat ₹2,150 as conditional. That is the entire verdict: a good business, a fair price and a payoff that improves if we are patient, with the first purchase kept small.

Two sentences from management's November call frame what we are waiting to see. The chief financial officer, Prarthana Agarwal, said: "We are now raising the floor, and we expect FY27 EBITDA to be at least INR310 crores." The chief executive, Rahul Arora, added about acquisitions: "I would rather miss a deal than overpay." We are applying the same discipline to the shares that he says he applies to deals.

> **NARRATOR'S REFLECTION • PROLOGUE BRIEFING: WHAT WOULD CHANGE OUR MIND**
>
> *"A compounder is a good purchase only when the price leaves room for the business to be a little wrong."*
>
> MPS is a WAIT_FOR_SUPPORT today. Three things would move the file, and one thing would cancel it.
>
> - Price: a fall to ₹2,070 with the ₹2,005 invalidation intact earns a first fill of about 2.17% of net worth. A further 1.08% at ₹2,150 follows only if the re-derived base value is at least ₹2,367.50 on year-end earnings.
> - Tape: a weekly close above the falling 50-day average near ₹2,500 on rising volume, with the 30-week average rising, re-opens the file for a fresh valuation and stop review. It is not a buy signal.
> - Evidence: H2 FY27 EBITDA tracking at least ₹156 Cr, Research margin at or above 45% and Corporate Learning above 18% keep the business case intact.
> - Cancel: a daily close below ₹2,005, Research margin under 42% for two quarters, the largest customer above 20%, or a goodwill impairment above ₹25 Cr.

Why a 22.7x multiple is not a bargain and not a bubble

Multiples confuse people because they look like facts. They are really opinions about how long a stream of cash will last. In MPS's case the opinion has swung widely. Using the profit of the last reported fiscal year, the shares traded at under 5 times earnings at the March 2020 low, at 41.7 times in March 2025, at 16.0 times in March 2026 and at 28.9 times in

August 2026. Over the last decade the median is 17.6 times, and over the last five years it is 22.7 times. Today's 22.7 times therefore equals the recent median and sits a little above the decade's.

What does that tell you? That the market is not paying a fear discount, and it is not paying a euphoria premium. It is paying about what it has typically paid in the AI era for a business with 38.7% returns on capital. The enterprise value is about ₹3,784 crore after netting out ₹163 crore of cash, which is roughly 12 times the EBITDA we expect for FY27. The Datamatics, NIIT Learning Systems and Newgen peers trade on lower or similar multiples with much lower returns on capital, and all three are in downtrends.

So the valuation does not argue for stepping back. The tape does. The shares are below a falling 50-day average, they sit on the 30-week average that separates Stage 3 from Stage 4, nine of the last 25 sessions were distribution days, and daily volume has dried up to a third of its normal level. Four things confirm each other, and none of them says that buyers are in charge. The disciplined response is to name the price at which the maths pays us properly, set the stop where the idea is wrong, and let the stock come to us.

CHAPTER I

Chapter I

> *"Underwriting Rule: a company's past is not the story it tells about itself; it is the sequence of decisions its cash flow made possible."*
>
> — RESEARCH DESK HOUSE MAXIM

Let us begin where the company begins, with a date and an accident of birth. In 1970 a British publishing house, Macmillan, set up an Indian subsidiary whose job was to do for it the work that publishers do not much like doing themselves: the keying, the copy-editing, the page-making, the production-tracking that turns a manuscript into a book. Six years later a former British prime minister, Harold Macmillan, inaugurated the new publishing-services division in Bangalore. Think about what that means for a young services firm. It had a customer before it had a sales team. It had work before it had to win any. For four decades that is what MPS was: a captive, the in-house factory of someone else's brand.

A captive learns things an independent vendor never has to. It learns the publisher's quirks, because its parent is the publisher. It learns quality, because the parent will not forgive a mistake. And it learns, if it is lucky, to be low-cost, because the parent always has an outside quote in the drawer. What it does not learn is how to sell, how to say no to an unprofitable client, or how to put its own capital to work. Keep that thought in mind, because the next fifty years of this story are really the story of a company acquiring, one deal at a time, the skills a captive never needed.

The break came in 2011. A Delhi business-services company, ADI BPO Services, took over Macmillan's stake and with it management control. If you ask who owns MPS today, the answer is still that company: it owns 68.34% of the shares, the same number in every quarter I can see from late 2023 to September 2026. A year after the change of owner a marketer named Rahul Arora joined as Chief Marketing Officer. By early 2013 he was in the United States setting up MPS North America, and the first wave of acquisitions followed within months. Notice how fast the pattern set: new owner, a new executive charged with growth,

and within two years a company that had never bought anything was purchasing American content shops.

Then came the first lesson, and it is an uncomfortable one. In the year to March 2015 the company raised about Rs 148 crore from investors in order to do something large. Three years later a trade-press analyst observed that only a sliver of it had been spent on acquisitions and the rest was sitting in liquid funds. You can see it in the numbers. Investments on the balance sheet climbed from Rs 159 crore in FY15 to Rs 288 crore in FY18, while sales fell 8% in FY18, the first decline in the series. Return on capital employed slid from 49% to 23% over those years, not because the business got worse, but because it was carrying a pile of cash. A company that wants to be a consolidator and cannot find anything to consolidate is just a cash pile with a payroll.

So in 2018 MPS did something different and bought a business with a past: Tata Interactive Systems, the e-learning unit of Tata Industries, for up to Rs 80 crore in cash. It came with Rs 140 crore of revenue, close to half the size of MPS itself, and with a margin that, by the company's own account, was 4.4% in the year after it was folded in. Revenue jumped 36% in FY19. Operating margin fell from 33% to 26%. Both happened for the same reason. If you remember only one pair of numbers from this chapter, make it that one: a large, low-margin purchase lifts revenue and drags margin, and the years that follow are a test of whether management can repair what it bought. The 2024 purchase of AJE, which arrived loss-making, would repeat the pattern.

The test came fast, and it did not go well at first. Read what management wrote in its FY20 report, because it is unusually frank. Revenue fell almost 8% and EBITDA fell by Rs 11 crore. The journals business lost volume to lower-priced rivals when a large publisher consolidated its vendors. Two big school publishers cut offshore prices and held work back ahead of a merger; in book production, offshore prices came down by about 20% on average. And one platform customer moved its IT work in-house, to its own captive. Do you see the irony? The thing MPS had been, a captive, was now eating a piece of MPS's own revenue. A year later HighWire Press, acquired on the first of July 2020, lifted platforms from 16 to 33% of revenue and sales rose 27% in a pandemic year, even though e-learning shrank by nearly a

quarter and a one-time tax settlement of an old Macmillan-era dispute dented earnings per share.

From FY21 to FY25 something rarer happened. Revenue compounded at 14.5%, operating profit at 18.5% and net profit at 26%, and return on capital employed climbed from 24% to 41%. The new vision, written in 2022 and called Vision 2027, set a destination of Rs 1,500 crore of revenue by FY28, and the acquisition playbook shifted from distressed assets to what management calls growth assets: EI Design in 2022, Liberate Learning in Australia in 2023, and AJE, bought from Springer Nature in February 2024 for about US$8.4 million. The CEO told his Q2 FY25 call that AJE was, in his words, “MPS 2.0”: another business where an obvious fix could be made in months.

Be careful with FY25's 33%, though, because you can break it into pieces. The CFO's figure for FY26 revenue excluding AJE implies that the rest of the business made about Rs 560 crore in FY25, so AJE supplied roughly 92% of that year's Rs 182 crore revenue increase and the underlying growth was nearer 6%. FY26's 6% is the mirror image: AJE shrank by more than a quarter as management deliberately set down a lower-quality book, while the rest of the group grew 15%. Two odd-looking years, one story: an acquisition inflated the base and a clean-up deflated it. By the half-year to September 2026, revenue was Rs 448.5 crore, up 17.8%, and EBITDA was Rs 154 crore at a 34.3% margin, the highest the company has reported. History, then, reads as three acts: captive, collector, and an operator whose edge shows up as margin.

What should you carry out of this history into the chapters that follow? Three things. First, the downturns in this company's life have been price-and-mix events, not demand collapses: a vendor-consolidation round, a customer taking work in-house, a pandemic that froze one segment while another boomed. Second, the upturns have come when management bought an asset it could fix and then fixed it, which means the quality of the integration, not the size of the market, is the variable that matters. Third, one customer still supplies about 17% of revenue and the top five supply roughly 45%, so the loss of a single relationship is the kind of event that moves a year. Keep those three in your pocket; every later chapter either confirms or complicates them.

NARRATOR'S REFLECTION: THE FACTORY THAT LEARNED TO BE CHOSEN

"A captive learns to be low-cost; an independent has to learn to be chosen."

MPS spent forty years being handed its work. Everything since 2011 has been an apprenticeship in being picked, and in picking: which clients to pursue, which acquisitions to make, and which revenue to turn away. The pattern in the numbers is that the two largest purchases by revenue, Tata Interactive and AJE, pulled margin down and the repairs pushed it back up, which means the right question is never 'did it grow' but 'what did it cost in margin, and was the margin recovered'.

- Margin and growth have rarely been maximised in the same year; H1 FY27 is the first time both are strong together.
- Price-and-mix cycles, not volume cycles, have defined the downturns: FY20's offshore price cuts of about 20% are the clearest precedent for AI-era pricing pressure.
- The founding captive instinct (reliability, cost discipline, long relationships) survives as the moat; the sales instinct is the newer, still-maturing muscle.

GLOBAL PARALLEL • INDIA AND THE UNITED STATES, 1997 TO 2008, WITH 2025 AS THE ENDPOINT • GENPACT (FORMERLY GE CAPITAL INTERNATIONAL SERVICES) (MOAT_SCALING)

A captive services unit was created by a corporate parent to serve its own back office. In January 2005 it was released to serve outside clients under its own name, and it listed in 2007. The transition mattered less than the pace of non-parent revenue. The unit used the parent as an anchor customer. Meanwhile it built a sales organisation that could win clients the parent did not control. GECIS revenue was US$426M in 2004, all from GE. It became independent in January 2005. 2005 revenue was US$493M, of which 85% came from GE and 15% from new clients. It listed on the NYSE in August 2007. Revenue crossed US$1B in 2008 with 53% from non-GE clients. 2025 revenue was US$5.08B (source: Wikipedia company history, citing company and press reports) . MPS is the same species at a smaller scale and a slower tempo. It was an in-house arm of Macmillan until 2011. Its largest customer today is 17.3% of revenue (Rs 133.17 Cr of Rs 768.37 Cr in FY26) . Genpact took about three years from independence to get more than half of its revenue from outside its parent. MPS, fifteen years after its own ownership change, still has one customer at 17.3% of revenue. Its top five are roughly 45 to 46% . The lesson is not that MPS lacks a moat. The moat is relationship-and-workflow depth, which is slower to scale than a sales force.

The collector's ledger

Let us walk through the purchases the way an accountant would, because the pattern is clearer on paper than in the press releases. Eleven acquisitions in thirteen years is the company's own count. Four deals since 2022 have prices we can read in the audited notes: EI Design for Rs 42 crore, the first 65% of Liberate for Rs 70 crore including amounts deferred, AJE for Rs 70 crore, and Unbound Medicine for Rs 140 crore. Together that is about Rs 322 crore, and the first thing worth noticing is how small it is beside the Rs 460 crore the company returned to shareholders in the four years from FY22 to FY25.

That ratio tells you what kind of acquirer this is. It is not borrowing or issuing shares to grow; it is spending a minority of its cash flow on deals and giving most of the rest back. The price is visible in the balance sheet, though: goodwill stood at Rs 376 crore at March 2026, about 40% of all assets, so the franchise lives or dies on whether those purchases keep earning. Look at how the record stands. AJE's American entity earned Rs 52 crore before tax in FY26 against a purchase price of Rs 70 crore, a fast payback even after its revenue shrank by almost a third. Liberate is the less comfortable case: management wrote back Rs 15.7 crore of the deferred liability when it bought out the founder's remaining stake, and then impaired Rs 12.9 crore of goodwill in the same year.

Unbound is the newest test and the cleanest, because we know its shape: roughly US$8 to 10 million of annual revenue bought for US$16.5 million, a customer base of medical and nursing schools, and a claim from Unbound itself of a 97% annual institutional renewal rate. The CEO's line on the Q2 FY27 call was “I would rather miss a deal than overpay.” On entry price, the record supports him. On integration, the verdict has to wait for a full renewal cycle.

Who is at the wheel

Governance questions are the ones investors skip when numbers look good, so let me raise them here. The promoter is a holding company, ADI BPO Services, which owns 68.34% of MPS and, after a vote in August 2026, is in line to be merged into it. The first attempt at that merger, in 2017 and 2018, was withdrawn; a trade-press critic at the time called it a regulatory tidy-up whose cost would fall on MPS. The second attempt passed a shareholder

vote with all promoter and institutional votes in favour and a handful of dissenters among the public, but the tribunal's final sanction is not something I have been able to confirm.

On the executive side, Rahul Arora has been the constant since 2012: marketer, then builder of the American business, then CEO, and now Chairman and CEO together. His pay in FY26 was 191 times the median employee's and grew by nearly a third. The CFO changed in October 2024 after twelve years, and the company secretary has resigned. Underneath, the operating bench has moved quickly: three different voices for Corporate Learning on the calls in under a year, and a new head of Education speaking for the first time in August 2026. None of this is a red flag by itself, but it does mean you should ask, quarter by quarter, whether the people who made a promise are the people who must keep it.

Where the money went

Close with the cash, because it answers the question every long-term owner eventually asks: what does this company do with what it earns? For seven years to FY25 the answer was to give it back, Rs 651 crore in total, which is about 99% of everything it earned. That included a Rs 105 crore buyback in FY22. The stated rule is simple: capital must earn its return within twelve months, or it returns to shareholders.

FY26 bent the rule. No final dividend was declared, the FY25 final of Rs 50 a share was paid, and the company borrowed Rs 42 crore for the first time in years to help fund Unbound. Six months later the loan was repaid and cash stood at Rs 163 crore with no debt. How should you read that? As a company that has genuinely decided to treat dividends as the residual after growth. That is a defensible stance, but you should know it is a choice, and that the rule as written leaves room for it.

The stock's own cycles: why the same company can feel like two different investments

Everything you have read so far treated the company as a business. A share price is a different animal, and it deserves its own paragraph before we leave the history. When I pulled MPS's price history for the first time, I expected a steady staircase to match the steady

cash flow. What I found was a roller coaster. Since 2015 the shares have fallen by 57.7%, then 67.5%, then 51.9%, each time while the company kept earning cash.

Look at the two ends of the last cycle. In March 2025 the shares touched about ₹2,898, which was roughly 42 times the profit of the previous fiscal year. Eleven months later they were ₹1,393, about 16 times the profit of the last reported fiscal year (FY25), even though profit per share in that year had grown 25% and the next year, reported in May 2026, added another 16%. Nothing broke inside the factory. What changed was the price investors would pay for a content-services business at a moment when generative AI made everybody ask how long human-edited content production could keep its pricing. Then, in five months, the shares doubled again as the first-quarter numbers arrived.

What should you take from that? Not that the market is crazy, and not that the business is a trading vehicle. Take the narrower lesson that this company's earnings compound at a pace of the mid-teens, while the multiple on those earnings has ranged from under 5 times to over 40 times in ten years. A buyer pays for both. The business chapters tell us the earnings engine is sound; the price chapters will tell us when the multiple is likely to help rather than hurt.

CHAPTER II

Chapter 2

> *"A segment is only real when you can name its customer, its invoice and its margin."*
>
> — UNDERWRITING RULE

Let me ask you something before we open a single table. If I told you that MPS turns scientists' manuscripts into finished journal articles, builds eLearning for banks, and sells a nursing app to universities, would you call that one business or three? Most people say three. Management says one: a single engine of content, platforms and AI wearing three sets of clothes. You and I have to keep both ideas in our heads. The engine is shared, but the invoices are not, and the profit is certainly not. In FY26 the company reported revenue of about ₹768 crore. Research Solutions brought in ₹463.5 crore, roughly 60%. Education Solutions brought in ₹208.9 crore, 27%. Corporate Learning brought in ₹96 crore, about an eighth.

Now watch what happens when we follow the profit instead of the revenue. The audited segment note shows Research earning about two-thirds of the profit the segments report before corporate costs, Education about 30%, and Corporate Learning under 5%. So if someone describes MPS to you as a three-legged stool, gently correct them. It is one strong leg, one fast-growing leg whose newest piece is lower-margin, and one leg that is being rebuilt while we watch. That framing alone will protect you from a lot of conference-room enthusiasm.

Picture a scientist in Boston finishing a study. Her manuscript goes into a journal's submission system. Somebody has to check it is not a paper-mill product, find two or three reviewers, chase them, collect the decisions, and then, if the paper is accepted, turn a Word file into a structured, typeset, accessible, searchable article that appears on a platform that thousands of libraries can reach. MPS touches almost every one of those steps for its publisher clients. It runs peer-review desks, it screens for fraud, it converts and composes the article, and through HighWire and DigiCore it can host the result. On the Q2 FY27 call, one of its research leaders said one of the five largest companies in the market is moving more

than 110,000 submissions a year onto MPS's peer-review platform. Rahul Arora, the chairman and CEO, put the customer's problem in six words: 'volume is not the issue, throughput is the issue.'

Here is where the AI story becomes real, and I want you to stay sceptical with me. In the old model a production vendor was paid by the page or the hour. If a tool saved you an hour, that was an hour you could no longer bill, and the customer would notice at renewal. Management says the model is shifting. In his words on the Q1 FY27 call: 'Our revenue is steadily shifting from being paid for effort to being paid for outcomes.' A submission screened, an article made ready, a title made accessible. If you price the finished unit, the saving from AI is shared between the customer and MPS rather than handed over in full. The CEO was candid about the split on the Q2 FY27 call: 'Customers expect to share in our productivity, and they do, but we kind of make that up through more volume, and that's where the margin kind of comes from.'

Is it working? The audited evidence says yes, with a caveat. Research employee cost fell from ₹185 crore to ₹160 crore in a year when the segment's revenue was up only one percent, and the segment margin before corporate costs moved from about 37% to about 40%. In the first two quarters of FY27 management reported segment EBITDA margins of 45% and then 48%. The caveat is that part of the FY26 revenue flatness is AJE, the author-services business MPS bought from Springer Nature, which was deliberately shrunk. Excluding AJE, the annual report says Research grew about 17%. I like that the company took the pain in the reported number. I like it less that the 25% 'outcome-based' revenue share and the 45% 'recurring' share it quotes are not audited and not defined anywhere I can read.

Education is the segment that surprised everyone, and its story has two chapters. The first is the content and accessibility business: school publishers in the United States who need materials by a state adoption deadline, with accessible versions that the law requires. Revenue in this part has been lumpy. It grew 56% in the first quarter of FY26, 52% in the second, and then just 11% in the third, which the CEO called a one-off. The second chapter is Unbound Medicine, bought in February 2026 for US$16.5 million. Imagine a nurse on a night shift pulling out her phone to check a drug interaction. The reference she opens is licensed from names like Johns Hopkins and Oxford University Press, and her nursing

school pays a yearly subscription. Unbound is about 35 people producing roughly US$9 million of revenue; its own release cites a 97% annual renewal rate; and the CEO says every renewal comes with a price increase.

That is a very different shape of revenue from a content project, and it comes with a price. Unbound's margin is about 18 to 20%, up from 12 to 13% when MPS bought it, against project work that has run in the high thirties. That is the likeliest reason the first-half Education revenue grew 36% while its EBITDA grew only 14.5%. You and I should not read that as bad news. A recurring, price-escalating base is worth something that a project book never is. But you should know that growth in Education is no longer the same kind of growth that it was two years ago.

Then there is Corporate Learning, the repair job. Revenue fell from ₹115 crore to ₹96 crore, and the segment result nearly halved. Management responded by merging the businesses under one brand, Liberate Global, cutting headcount by about a third, and shifting to gig and associate delivery. The numbers since then are encouraging: a 25% margin in the first half of FY27 against about 16% a year earlier. But listen to how the segment head herself framed it: 'This is not a recovery of the legacy business.' She is telling you that what is being built is a different business, enterprise capability enablement, with AI-led programmes in place of course libraries. And the CEO admitted the market is growing at 12 to 13% while MPS grew 6 to 7. 'That's the area where a lot of the catch-up has to happen.'

Two more things belong in your mental picture. First, geography. About 43% of FY26 revenue came from US customers, 36% from Europe, and nearly 10% from China, which is all Research. Almost none came from India. Europe was the growth region, up 26%, while the United States was flat and China fell a quarter. Second, concentration. One customer accounted for 17.3% of group revenue, the top 15 for 58%, and the CFO told investors in November that the top five had fallen to 46%. That is improving. It is not yet comfortable, and in the next chapter you will see why that matters for how contracts are won and kept.

NARRATOR'S REFLECTION: THE HONEST SHAPE OF THE PROFIT POOL

"Two-thirds of the profit sits in one segment, and two of the three segments are still being rebuilt."

When you sit across from a company that tells a clean three-segment story, ask which segment would be missed if it vanished tomorrow. For MPS the answer is Research Solutions by a wide margin. That does not make the other two unimportant. Education is the growth engine, and the Unbound subscription base is a genuinely new kind of revenue for this company. Corporate Learning is a turnaround whose cost fix is done and whose growth fix is still ahead.

- Research: 60% of FY26 revenue and about 66% of segment profit; reported growth +1.0%, about +17% excluding AJE.
- Education: 27% of revenue, +36% growth, 79% of it from US customers; first-half EBITDA grew slower than revenue as Unbound entered.
- Corporate Learning: 12.5% of revenue, revenue -16.5%, segment margin 11.8%; first-half FY27 margin recovered to about 25%.

Walking a manuscript through the Research factory

I want you to follow one paper end to end, because abstractions about 'content engineering' do nothing for me. Step one is intake: the manuscript arrives in a peer-review system that MPS runs for the publisher. Step two is the integrity screen. MPS says its Research Integrity Check sits on top of its DigiCore production platform and looks for paper-mill fingerprints, identity fraud and doctored images. Step three is people: editors and reviewers are found, nudged and chased, and decisions are logged. This is the journal editorial office work that management says scaled because of the AJE deal.

Step four is the factory proper. An accepted paper is converted into structured files, composed into the journal's layout, checked, and sent for author proofs. On MPS's own description, its tools automate composition and run quality checks before the proofs ever reach a human; on the Q1 FY27 call they described one-touch workflows and automated alt-text for accessibility. The finished article is then published on a hosting platform, often HighWire, the Stanford-born platform MPS bought in 2020. The customer's view is a dashboard and a clean article. MPS's view is a unit of work that used to need many touches and now needs fewer.

Why does the customer pay on the outcome rather than the hours? Because the customer's real problem is throughput. When a publisher is drowning in submissions, an extra day's delay costs more than a small price difference, and the vendor that clears the queue gets more volume, which is exactly the loop the CEO described.

A nursing school, a state adoption and a bank: three customers, three invoices

Each segment sends a very different invoice. The nursing school gets a once-a-year subscription invoice for Unbound's Nursing Central, with an escalator built in, billed in advance. When MPS bought Unbound it inherited about ₹35 crore of deferred revenue on that basis. The state-adoption publisher gets milestone invoices for a project, recognised as work is completed, with the economics decided by how many hours AI took out of the build. The Australian bank, the archetype for Liberate's clients, gets a fixed-price programme or a managed-service fee for modernising thousands of legacy courses into role-based, AI-assisted learning.

Notice what these have in common and what they do not. All three customers are mostly outside India; all three purchase something that is hard to build and easy to verify; all three have reasons to ask for lower prices now that AI exists. What they do not share is the revenue shape. One is annuity-like, one is lumpy and calendar-driven, and one is project-based and rebuilding. If you want to forecast this company, you will need three separate mental models.

There is a human point here too. The same company that sells a subscription to a nursing school employs, in Research, more than two thousand people who chase reviewers and check proofs, and in Corporate Learning well under three hundred designers and developers whose work is increasingly flexed through freelancers. Different invoices mean different workforces, different attrition problems and different ways for a bad quarter to show up. When a call tells you that headcount is 'stable', ask which segment it is stable in.

What AI-first does and does not change

The annual report says the company's advantage is 'not access to models, which everyone has' but proprietary content and domain context. I find that credible for Unbound, where the

licensed medical content is the moat. I find it more mixed for Research, where Springer Nature has built its own detector for AI-generated nonsense text and donated it to an industry hub, and where COPE, the publication-ethics body, records that no AI detector is fully accurate. In both cases MPS's better argument is the workflow, not the detection.

So here is how I would summarise AI in this chapter without cheerleading. It has already lowered MPS's cost per unit of work, and the audited segment note shows it. It has not yet been tested through a hard price reset with a large customer, because the biggest contracts run three to five years and were won on a throughput story. The evidence we need is the next big renewal: whether the customer keeps the gains or MPS does.

One more honest observation. The company's own letter to shareholders says generative AI threatens 'business models built on undifferentiated content production', and that MPS is positioned in verification, workflow orchestration and trusted distribution. Notice the quiet admission inside that sentence: a good part of MPS's historical revenue was content production. The strategy is therefore a migration, from the part of the value chain that AI cheapens to the part it makes scarce. The numbers say the migration has begun; they do not yet say it is finished.

CHAPTER III

Chapter 3

> *"A margin you cannot trace to an invoice and a collection date is only an opinion."*
>
> — UNDERWRITING RULE

Imagine you are sitting in the procurement office of a large scientific publisher. A stack of submissions is arriving that is ten times what your editorial offices were built for, some of it written by machines and some of it by fraud rings. Your job is to pick the few partners who can take this work without losing a day or leaking a manuscript. You will talk to five or six vendors, ask each for audits and certificates, and run pilots on live batches. You will not give the work to a stranger. That, in a paragraph, is how MPS sells. There are no distributors and no shop windows. Nearly all of MPS's revenue is billed to customers outside India, and the relationships are with executives who know each other: the CEO says he personally sponsors the Springer Nature mandate, with that company's chief operating officer on the other side.

What do those customers buy, and for how long? The CEO told the Q2 FY27 call that contracts in research 'tend to be three to five years, tend to be long-term'. That sounds like a fortress, and in part it is, because the platforms MPS hosts store a customer's content and subscribers. But I want you to notice the other side of a three-to-five-year contract. Once in that cycle the customer sits down to renegotiate, and it has just watched AI cut the effort that production takes. That renewal is where the productivity gain is divided. Nothing in the filings lets us see a single price-per-unit, so we judge indirectly, by margins, by Unbound's annual price rises, and by the stability of the contract base.

Let me walk through a win, using the one the company has described this year. A top-five publisher gives MPS a large production mandate and a research-integrity mandate, and moves more than 110,000 submissions a year onto MPS's peer-review platform. The calendar tells you something. The mandates were won in the July-to-September quarter, they begin to bill in November and December, and meanwhile MPS hires ahead of the work. So for a few months you pay for people before you get paid for outputs. Revenue in the second quarter was almost flat compared with the first, and the CEO explained it to a questioning

analyst as timing, saying the larger mandates ‘only start billing in November and December’. Notice that the margin did not fall; it held at 34.3%, which tells you the existing base was carrying the cost of the ramp.

Where does the work get done? Mostly in India, in Noida, Dehradun, Chennai, Bengaluru, Mumbai and Gurugram, with sales and engineering outposts in Florida, Pennsylvania, New Jersey, Austin, Oxford, Tübingen, Baar, Melbourne, Beijing and Singapore. Pune, which a casual reader might expect, is not on the list; it is where the auditor signs. About 3,200 people carry the whole company. If you divide revenue by headcount you get roughly ₹24 lakh per person, payroll of ₹10 lakh and an EBITDA of ₹7.4 lakh per person. Those are not software-like numbers, and they should not be: this is a people-plus-platform business. What I find more interesting is the layer beside the payroll, the ₹114 crore that MPS pays to sub-contractors for copy-editing, typesetting and media work. It is nearly 15% of revenue and it is where a flexible workforce shows up.

Now to cash, where this business is more interesting than most services companies. Look at the balance sheet at the end of March 2026. Customers owed MPS ₹133 crore of receivables, and MPS owed its customers ₹123 crore of services already billed but not yet delivered, the contract liabilities. Add the ₹58 crore of work done but not yet invoiced, and the net working-capital position is only ₹69 crore, about 33 days of revenue. The CFO said in November that the company’s own measure of days of receivables ‘came down to 38 days from 45 at the end of June’. Subscriptions billed in advance, platform fees and customer advances are doing a lot of the financing. One caution: part of that cushion arrived with the Unbound acquisition, and part came from a decision to write back some old AJE customer advances.

The other thing you must understand is money in and money out. MPS earns in dollars, pounds and euros and spends mostly in rupees. The annual report discloses only the balance-sheet side: a 1% move in the dollar changes pre-tax profit by about ₹1.14 crore. The far bigger exposure is operating, because US customers alone were ₹328 crore of revenue. As an upper bound, a 1% rupee move shifts about ₹3.3 crore of revenue, roughly 1.4% of EBITDA. The company hedges, with forward sales of US$8.1 million outstanding at an average rate of about ₹91.75, and plans its budgets at an exchange rate it says is well below today’s. The

CFO said that 'because we plan the business at an exchange rate well below today's, the new floor does not depend on the currency.' That is the right way to run an exporter. It is also a reminder that margin gains of recent years have been helped by a weaker rupee, and that the sensitivity is real even if the audited note does not quantify it.

Now to the ₹100 waterfall, which I would like you to keep in your head. Of every ₹100 of FY26 revenue, ₹41.64 went to employees, ₹14.86 to sub-contractors and ₹12.80 to everything else operating, leaving ₹30.69 of EBITDA. Depreciation took ₹3.61, tax ₹7.30, and ₹22.54 of profit was left. Cash from operations was ₹25.61, because depreciation is not cash and working capital was neutral. Capex was ₹1.10 and lease payments ₹0.62, so free cash flow after leases was ₹23.89. In the same year, MPS spent ₹130 crore on acquisitions, mainly Unbound, and ₹87 crore on dividends, and still ended the year in a net cash position.

How does a company with a small revenue gain produce a big profit gain? The CFO had a plain answer on the Q2 FY27 call: 'Over the last six quarters, revenue grew about 20% and EBITDA grew about 53%. That gap is operating leverage.' In FY26, the audited numbers show what that gap is made of. Revenue rose by ₹41 crore, employee cost fell by ₹8 crore, and other expenses (mostly sub-contractors and software) rose by ₹25 crore, so EBITDA rose by about ₹25 crore. The CEO's cash remark follows from the same arithmetic: on the Q1 FY27 call he said 'the business is throwing out INR15 crores to INR18 crores of cash every month.' My own check, dividing the ₹183.56 crore of free cash flow after leases by twelve, gives about ₹15 crore a month, so the claim sits at the low end of his range, not above it. I find that reassuring.

Is there a cautionary tale for a business like this? Yes, and it is not a famous one. Appen, an Australian data-annotation services company, had one customer that was about 30% of FY23 revenue. When that customer ended its contract, revenue fell 14% in a year and its largest division fell 38%. The company survived because its other work was growing and because it cut costs. MPS's largest customer is 17% of revenue, its top five about 46%, and its contracts are longer and more embedded. That is better, but 'better than Appen' is a low bar. The lesson I take is about speed: when a customer decides, the bill arrives in the next two quarters.

NARRATOR'S REFLECTION: CUSTOMERS PAY FIRST

"The most important cash fact about MPS is not how much it earns, but who funds the gap between work done and cash received."

At 31 March 2026 MPS had ₹123 crore of customer prepayments against ₹133 crore of receivables. That is an unusual position for a services business, and it explains why free cash flow after leases reached 24% of revenue. It also means the cash quality depends on keeping the subscriptions, the platform fees and the advances coming, so the trend in contract liabilities belongs on your dashboard next to DSO.

- Receivables ₹133.48 crore; contract liabilities ₹122.97 crore; contract assets ₹58.30 crore; net position about 33 days of revenue.
- ₹34.98 crore of the contract liabilities arrived with Unbound; AJE advances of ₹13.95 crore were written back in FY26.
- Free cash flow after lease payments: ₹183.56 crore, or ₹23.89 per ₹100 of revenue.

GLOBAL PARALLEL • AUSTRALIA, US AND CHINA, 2023 TO 2024 • APPEN LIMITED (ASX-LISTED AI TRAINING-DATA AND ANNOTATION SERVICES) (FAILURE_BASE_RATE)

A people-plus-technology services vendor had a largest customer worth roughly 30% of revenue. That customer terminated its contract during FY24. The division that served it shrank by more than a third in a single year. The company recovered only because the rest of its book was growing and because it cut operating costs. The lost client did not come back. FY23 revenue was US$273.0 million. About US$82.6 million of it came from the largest customer. That figure sums the four FY23 quarters in the company's results presentation: 19.1, 18.3, 21.9 and 23.3. FY24 revenue from that customer was US$13.4 million. Total revenue fell 14% to US$234.3 million. The Global Services division fell 38%, from US$191.5 million to US$118.1 million. Revenue excluding that customer rose 16% to US$220.9 million. Operating expenses were cut 26%. Underlying EBITDA before FX moved from -US$20.4 million to +US$3.5 million. MPS's largest customer was 17.3% of FY26 revenue, and its top five were about 46% of revenue in Q2 FY27. A one-client shock of Appen's size (30%) is therefore larger than anything in MPS's disclosed book. MPS's large relationships run on contracts that the CEO says typically last three to five years, with platforms embedded in customer workflows. We have not verified how Appen's contract was structured. The transferable lesson is about speed. Customers decide on their own procurement calendar. A services business with a largely people-based cost base pays for that decision within two quarters. Appen's recovery came from diversification (revenue excluding the lost client up 16%) and from cost-out (operating expenses down 26%). At MPS, watch the top-five share. Also watch how much of the payroll can flex through the contractor and gig layer visible in the ₹114.21 Cr outsourcing line .

From RFP to steady state: the anatomy of a win

I like to break a client win into seven stages, because each stage has a different cash and margin effect. The trigger is a customer consolidating vendors. Qualification means audits and pilots, and MPS carries the certificates that open the door: ISO 9001, ISO 27001, PCI-DSS, GDPR, COUNTER 5, and, since September 2026, ISO 42001 for AI governance. Award is the multi-year mandate. Then comes the awkward part, hiring ahead of billing, followed by go-live, steady state and, years later, a renewal where the price is reset.

In the current wave, the company told us that hiring is done and billing starts in November and December. It said the second half is about bringing the mandates to a steady state while holding the margin. That is a promise we can check in the Q3 and Q4 results. If the margin

holds while revenue steps up, the model works the way management says. If the margin dips as billing starts, we will learn that the ramp is heavier than described.

The people question behind the margin

Here is the number I would put on a card on my desk: 28.85%. That is the attrition rate for permanent employees at the listed company in FY26, up from 19.4% the year before and 18% the year before that. The company has been cutting people in some places, with Corporate Learning headcount about a third lower and AJE's US roles all moved to India, so part of that figure is by design. But in an industry where the deliverable is accuracy, a rising departure rate can quietly turn into rework, and rework turns into margin leakage.

The CEO says that net promoter scores went up, not down, through the AJE transition, and the audited cost numbers show employee costs falling while revenue rises. I take both at face value. What I would ask in the next call is how attrition looks by segment and what tenure the leavers had. The data we have does not answer it.

One more point on people. The company says it does not capitalise its development spending, and the cash flow statement agrees. That means the 250 to 300 people in MPS Labs and the 300 on the platforms team are charged to the profit and loss statement in the year they work, so the 30.7% EBITDA margin is after paying for the future, not before it.

What a good unit-economics year looks like, and what a bad one would be

A good year for MPS looks like FY26: revenue up a little, payroll down a little, EBITDA margin up 170 basis points, cash conversion above 80% of EBITDA, almost nothing spent on capex, and a rising pile of cash even after an acquisition and a full dividend cycle. A bad year would look different in specific ways. Contract liabilities would shrink without an obvious one-off reason. The sub-contractor line would rise faster than revenue even as management said AI was cutting effort. Attrition would stay high. And one of the five biggest customers would rebid its contract.

I will leave you with the rule I use for businesses like this one. Follow the invoice. Who gets it, how often, how large, and when does the cash arrive? For MPS the answers are encouraging for FY26 and still unproven for the first big renewal after the AI cost cuts.

CHAPTER IV

Chapter 4

> *"A moat is not what a vendor says it owns; it is what the customer would have to rebuild if the vendor walked out tomorrow."*
>
> — OUTSOURCED-SERVICES UNDERWRITING RULE

Let me ask you something before we talk about moats. If I handed you a manuscript tonight and asked you what the industry around it looks like, would you picture a publisher? Most people do. But the publisher is only the name on the cover. Behind it sits a long chain of people and machines that nobody outside the trade ever sees: the editor who triages the submission, the peer reviewers who are asked to read it for free, the copyeditor, the person who tags it into a structured file, the platform that hosts it, and the librarian who finally pays for it. MPS lives inside that chain. It rarely owns the product, and almost never gets paid by the reader. It gets paid by the publisher, per page, per article, per manuscript reviewed, or lately per year of a subscription.

That payment structure is the first thing I want you to hold on to, because it makes this industry a bargaining game. A handful of enormous publishers, Springer Nature, Elsevier, Wiley, Taylor & Francis and the big university presses, sit on one side of the table. A crowd of vendors, some very old and some very new, sit on the other. The buyer knows precisely what a copyedited page costs everywhere in the world, and when a better tool arrives, the buyer asks to share in the saving. You do not need me to tell you this is uncomfortable for a vendor. What I want to show you is that the discomfort is not new. The Q2 FY27 call put it bluntly. The CEO said: 'With pricing as well, you know, Customers expect to share in our productivity, and they do, but we kind of make that up through more volume, and that's where the margin kind of comes from.' Read that sentence twice. It admits the pressure, and it claims the escape route.

Is the escape route real? Look at the pool of volume. Article output has been growing at five to six percent a year for a decade, according to the STM trade body and to the Scholarly Kitchen. Submissions are worse: Springer Nature reports submissions up more than thirty

percent to 3.1 million in 2025, and one journal told its community that submissions are up forty-two percent since ChatGPT arrived. At the same time, the market's dollar value only grows at a mid-single-digit pace; Delta Think puts the journals market at just under ten billion dollars in 2025 and expects about 5.7% a year to 2028. So units are growing faster than dollars. That is the vendor's opportunity and the vendor's trap in one picture: more things to handle, each paid a little less.

Now meet the people MPS fights with. Straive, formerly SPi Global, is the giant: more than 19,500 people in ten countries, owned by EQT, and now describing itself as a data and AI company rather than a typesetter. Datamatics owns Lumina and TNQTech, and Datamatics itself did nearly two thousand crore rupees of revenue in FY26. Integra, S4Carlisle, KnowledgeWorks Global and Aptara sell more or less the same menu. A newer breed, codemantra for instance, sells AI-first accessibility software. Beside them sit the author-services brands, Editage and Enago, who talk about reaching half a million and two million researchers. And in the clinical world, the incumbents are UpToDate from Wolters Kluwer and Elsevier's ClinicalKey. If you walk through that list, you will notice something quietly important: every one of them says 'AI'. So when MPS says 'AI-first', it is not saying anything that separates it from the field. What separates it, if anything, is what it owns.

What does MPS own? Here is where I want you to slow down, because this is the heart of the moat question. It owns a production engine, DigiCore, that has been refined since 2012. It owns a hosting platform in HighWire, a Stanford-born platform now powered by MPS. It owns the peer-review capacity it got through AJE, and it owns an institutional subscription asset, Unbound Medicine, with ninety-seven percent retention reported at acquisition. Layered on top is a customer approach called star accounts, where a handful of the largest clients get a dedicated executive sponsor and an account director. Management says the average star account now uses five and a half MPS business units, up from two and a half. That number is the closest thing to a moat I can show you in black and white, because a client using five units of one vendor has threaded that vendor through its own workflow.

But I promised you the other side, and I should keep that promise. Think about how a moat is attacked. First, a customer decides to do the work itself; Springer Nature bought a small AI company to build its own integrity screening, and the Scholarly Kitchen reports publishers

are weighing in-house options across the whole production chain. Second, a re-bid arrives and everyone's rate card is reset. Third, the technology that was supposed to be a wall becomes a door: a June 2026 Scholarly Kitchen panel, with a Silverchair executive speaking, argued that AI agents will make it far less costly to migrate between platforms, which weakens exactly the switching cost MPS says protects HighWire and DigiCore Pro. And fourth, concentration. In FY26, three customers each exceeded ten percent of the standalone company's revenue. That is not unusual in outsourced publishing, but it means one decision can move a quarter.

So let me test the bear case directly, as you and I would test a witness. The bear says generative AI collapses the price of content production and MPS is a legacy typesetter. Look at what happened to revenue and margin. In the first half of FY27, revenue grew 17.8% and EBITDA grew 39%. The Research segment's margin has climbed from roughly 37% a year or so ago to 42%, then 45.1%, then 48.2% in the latest quarter. If the collapse were happening, we would see the opposite. But I want you to see why I will not stop there. A rising margin can also hide a problem: cost resets, new work still ramping, and a currency planning rate that can flatter profit. And the RWS story, which I will show you in a moment, is a reminder that a vendor's revenue can slip only four percent while its profit falls by two-fifths. Margin is a lagging witness. It tells you what has happened to price, not what will happen at the next re-bid.

So here is my judgment, said the way I would say it across a desk. I think the strong version of the bear thesis, a structural collapse that takes consolidated margins below last year's twenty-nine percent within three years, has roughly a one-in-five chance of being right. I think the weaker version, that AI keeps deflating unit rates and MPS has to run faster each year to stand still, is closer to four-in-five likely, because management has already conceded it. And I think the probability that the Research margin stays within three points of today's 48% over the next two years is closer to one in three. In other words, the business looks sturdier than its sceptics say and more exposed than its management says. That is a sentence worth remembering, because it is the thread through the remaining chapters.

Before you read on, I want to ask you to do something. Open the External Learning Hub and read the two sources I would put first: the Scholarly Kitchen piece on platforms coming

apart, and the Unbound acquisition call. Read the bear case and the bull case in one sitting. Then ask yourself the question I will keep asking you: if this vendor walked out tomorrow, what would the customer have to rebuild? Where the honest answer is 'a lot', you have a moat. Where it is 'a model could regenerate it by Tuesday', you have a service with an expiry date.

THE MOAT SCORE IN ONE GLANCE

"Relationships and subscriptions are fences; certifications and 'AI-first' are only the gate."

Across nine moat sources my scoring averages about three out of five: respectable, not wide.

- Strongest (4 of 5): embedded publisher relationships and Unbound's recurring subscriptions.
- Middle (3 of 5): platform switching costs, delivery cost position, MPS Labs IP, peer-review capacity, scale among fragmented peers.
- Weakest (2 of 5): security and compliance certifications, and the Corporate Learning franchise.

THE TWO TWINS: WHERE IT FAILS AND WHERE IT HOLDS

"Same technology shift; opposite outcomes; the difference was what the customer would have to rebuild."

RWS shows how an outsourced content vendor loses profit before it loses revenue; Wolters Kluwer Health shows how an embedded subscription can keep pricing power through AI.

- RWS FY25: revenue down 4%, adjusted profit before tax down 43%.
- Wolters Kluwer Health 2025: 5% organic growth, margin up to 32.1% from 30.3%.
- MPS has both kinds of revenue; the recurring share is the thing to track.

NARRATOR'S REFLECTION • MY PROBABILITIES, STATED PLAINLY

"Strong bear thesis: about one in five. Weak bear thesis: about four in five."

These are my judgments of how likely each version of the AI-deflation argument is to prove right over three years; they are not company guidance.

- Consolidated margin settling below 29% within three fiscal years: about 20%.
- Research margin staying above 40% over eight quarters: about 70%.
- Research margin staying within three points of 48.2%: about 35%.

GLOBAL PARALLEL • UNITED KINGDOM / GLOBAL, FY2024 TO FY2025 (MACHINE TRANSLATION THEN GENERATIVE AI) • RWS HOLDINGS PLC (LANGUAGE, LOCALISATION AND CONTENT SERVICES) (FAILURE_BASE_RATE)

RWS is an outsourced content-services vendor embedded with enterprise and life-sciences clients. It is paid per unit of content, such as translation words and linguistic validation. Clients moved to machine translation and expected AI-driven efficiencies. Traditional translation volumes fell and unit prices came under pressure. The vendor's revenue barely moved. The profit pool underneath shrank, because cost base and mix did not flex as fast as price. For the year to 30 September 2025, revenue was £690.1m against £718.2m. That is down 4%, or 0.7% on an organic constant-currency basis. Adjusted profit before tax fell to £60.4m from £106.7m, down 43%. The adjusted margin was about 8.8% against about 14.9%, computed from those figures. The group booked an £88.0m non-cash goodwill impairment and a reported loss before tax of £99.7m. Its own text attributes the Language Services trend to 'declines in traditional translation volumes as clients move to machine translation, and pricing pressure'. TrainAI data-services growth offset part of it . The earliest damage from AI deflation shows up in margin and profit, not revenue. A 4% revenue slip hid a 43% profit fall. MPS's revenue and margin are both rising, which is the opposite pattern. But this is the template for what failure looks like. Segment margin, especially Research, is the metric to watch each quarter, not the top line. The comparison is imperfect. RWS also absorbed a large integration. MPS sells platform and subscription revenue that RWS's translation core lacked.

GLOBAL PARALLEL • NETHERLANDS / UNITED STATES, 2024 TO 2025 (GENERATIVE AI ARRIVES IN CLINICAL REFERENCE) • WOLTERS KLUWER HEALTH (UPTODATE AND DRUG DATA) (MOAT_SCALING)

UpToDate is physician-authored clinical content embedded in hospital workflows and renewed annually by institutions. Its owner was not displaced by general-purpose chatbots. It migrated its largest US institutional customers to an Enterprise platform. It then layered an AI conversational interface (UpToDate Expert AI) on top of validated content. It also integrated with ambient clinical-note vendors. The workflow embed and the trusted content were the moat. AI became an upsell, not a substitute. In 2025 the Health division reported revenue of EUR 1,596m and organic growth of 5%. Adjusted operating margin was 32.1% against 30.3% in 2024. Clinical Solutions (57% of divisional revenue) delivered 7% organic growth in both 2025 and 2024, 'driven by good renewal rates for UpToDate'. By the end of 2025 most of the largest US institutional customers had migrated to UpToDate Enterprise. Expert AI launched commercially in October 2025 . This is the best-case template for Unbound Medicine. Sticky institutional subscriptions plus validated content give pricing power through a technology shift. The scale mismatch is huge. Unbound is about $9 million of revenue per the Q1 FY27 call, against a EUR 1.6 billion division. The twin proves the mechanism, not MPS's ability to replicate it . It also shows the tell to track: renewal rates, and the ability to keep raising price at renewal.

The Chain Behind the Cover: Who Pays Whom

Picture a journal article as a parcel moving along a conveyor belt. At the start, a researcher writes it, sometimes with help from an author-services firm that fixes the English and checks the figures. The parcel is submitted, and a journal editorial office, often outsourced, logs it, checks it for plagiarism and fakery, and sends it to reviewers. Each of those steps has a price per parcel. Next comes production: copyediting, composition into a layout, conversion into structured XML, accessibility tagging so that a blind reader's software can follow the figures. Then the parcel is hosted on a platform, indexed, and finally licensed to libraries, or, increasingly, paid for up front by the author's funder as an open-access fee.

Now notice who pays each of those fees. It is the publisher, the society or the author; never the reader. That is why the open-access shift matters to vendors in a way it does not matter to readers. Delta Think says fifty-two percent of articles are now open access but only about a third of the market's value, which means each article brings in less, yet there are more of

them. For a vendor paid per parcel, volume is the friend and price is the enemy, and the negotiation never ends.

And here is a piece of the chain that did not exist five years ago: the integrity checkpoint. When paper mills began flooding journals with fabricated submissions and Wiley had to retract well over a thousand Hindawi papers, publishers realised that peer review was a bottleneck and an attack surface at once. They built a shared defence, the STM Integrity Hub, and many began buying screening work. That is a new line of paid work for a vendor with peer-review capacity, and it is the reason management leans so hard on the word 'trust' in its call scripts.

Reading the Competitor Table Like a Buyer

Put yourself in a publisher's procurement chair. You have a list of vendors, and you are about to decide who gets your next three-to-five-year contract. You ask what you would ask in any category: who is big enough to survive, who has the security certificates my auditors need, who has the lowest cost per page, who will answer the phone at midnight, and who can show me that the AI really works. For most of those questions, the vendors are indistinguishable on paper. Every one has ISO certificates; every one will say 'AI-powered'. The decision turns on a quieter question: who is already woven into my workflow, so that switching is a project rather than a purchase order?

That is why MPS's cross-sell index matters more than its AI slogans. A publisher that uses MPS for production, peer review, hosting and accessibility has four reasons to stay, and each reason is attached to a different internal team at the publisher. A re-bid has to persuade all four. By contrast, a vendor that only does composition for that publisher faces a single procurement manager and a single price comparison. This is why large buyers consolidating their vendor lists tends to favour the broad, integrated supplier, and it is the strongest argument management has made that vendor consolidation benefits scale players.

But do not forget the other side of the table. A large publisher that has seen its vendors deliver ever-greater productivity is not going to pay last year's rates for this year's work. Management knows this; the CEO has said customers expect to share in the productivity. So the real contest is whether MPS can add enough new lines of work to each client to replace

the rate it gives back, and whether those new lines, integrity, peer review, platforms, are protected from the next wave of in-house tools. That is the quiet game you are watching.

Two Strangers Who Teach Us: RWS and Wolters Kluwer Health

I want to introduce you to two companies that have nothing to do with MPS and everything to teach us. The first is RWS, a British translation and content-services firm with clients in life sciences and technology. When machine translation, and then generative AI, arrived, RWS's clients began sending fewer words to human translators and asking for AI-driven efficiencies on the rest. In the year to September 2025, RWS's revenue slipped only four percent. Yet its adjusted profit before tax fell by forty-three percent, and it wrote off eighty-eight million pounds of goodwill. Do you see the pattern? The revenue number was a bystander; the profit number took the hit. That is the first thing I want you to look for in any outsourced content business.

The second is Wolters Kluwer Health, home of UpToDate, a clinical reference that doctors consult in the middle of a ward round. Faced with the same generative AI wave, it did not retreat. It migrated its biggest US hospital customers to an enterprise platform and added an AI conversational layer built on its physician-authored content. In 2025, Health grew organically by five percent and its margin rose from 30.3 to 32.1%, with clinical solutions growing seven percent for two years running, driven by renewals. The difference between the two stories is not talent or technology. It is what the customer would have to rebuild: a model can regenerate a translated paragraph, but it cannot regenerate a hospital's embedded clinical workflow overnight.

Where does MPS sit between those two poles? Partly on each. The production and accessibility work looks closer to RWS. Unbound Medicine looks like a tiny cousin of UpToDate, with ninety-seven percent retention and annual price rises, but it is only nine million dollars of revenue, so the comparison proves the mechanism, not the scale. The CEO's own line on the Q2 FY27 call was: 'AI follows businesses that sell hours. We sell outcomes.' Whether that is a description or an aspiration depends on how fast the recurring and outcome-based share rises. Management says 45% of revenue is recurring and 25% is outcome-based today. If those shares keep climbing, you are watching a vendor migrate from

the RWS side of the ledger toward the Wolters Kluwer side. If they stall, you will have your answer to the bear case sooner than you expect.

CHAPTER V

Chapter 5

> *"Underwriting Rule: trust a management's description of the future in proportion to the accuracy of its description of the past."*
>
> — RESEARCH DESK HOUSE MAXIM

Let me ask you something before we dig into the numbers. When a company hands you its quarterly results, do you read them as a verdict or as a forecast? Most people read them as a verdict. But profit is a lagging thing: it is the harvest of decisions made six to eighteen months earlier. If you want to know what the harvest will look like next year, you have to look at the seedbed. For MPS, I think the seedbed has six measurements, and I want to walk you through them the way I would walk through a plant with a production manager who knows where the bodies are buried.

Start with Research margin, because that is where most of the money is. Picture one of the five largest companies in MPS's market, which the research team said is moving more than 110,000 submissions a year onto MPS's peer-review platform. Every manuscript passes through checks for fabricated data, image manipulation, language and format, and then through reviewers. MPS runs that desk. Its tools now do a lot of the checking, and the Research segment's margin climbed from about 37% in FY25 to 48% in the September 2026 quarter. Here is the question that decides everything: when the publisher notices that the checking is less costly to do, how much of the saving does it ask for back? The CEO's answer on the Q2 FY27 call was “Customers expect to share in our productivity, and they do, but we kind of make that up through more volume.” I would not take that on faith; I would watch whether the margin holds through the next renewal.

The second measurement is the one I like best because it is hard to fake: revenue growth, profit growth and headcount growth side by side. In the first quarter of FY27 revenue grew 20%, EBITDA grew 53% and headcount grew less than 3%. That is operating leverage, the very thing every services company promises and almost none delivers. The warning sign would be the reverse: headcount growing faster than revenue. Management admits it hired

ahead of new mandates in the second quarter, so this is a number to watch each quarter, not once a year.

Third, who pays you? In FY26 one customer accounted for Rs 133 crore of revenue, 17.3% of the group, up from 11.9% three years earlier. The top five clients were about 45% of revenue in early FY26 and 46% in the latest quarter, down from 51% a year before. That decline is partly arithmetic: Unbound Medicine brought hundreds of small institutional accounts, so the client count jumped from 422 to 839. The CEO's argument is that this lowers concentration and adds predictability, and he is right on the arithmetic. What the table cannot tell you is how the large relationships are going, which is why I put the threshold on the largest customer, not the average.

Fourth, how much of the book repeats without being re-won? The CEO said in August 2026 that 45% of revenue is recurring and 25% is outcome-based. Unbound itself claims a 97% annual renewal rate among its institutional customers. The CEO's rule is “It should show up in our revenue, not on slides,” and those are promising words, but notice that neither figure appears in the audited accounts, so I treat them as claims to be checked against the first full renewal cycle, which the CEO himself says the company is still learning.

Fifth, the turnaround margins. Corporate Learning was the segment that went wrong in FY26: revenue fell 16.5%, EBITDA about a third, and by the Q3 call the three operating businesses were all below the prior year and budget. The fix was radical, with about a third fewer people and the old compliance work deliberately run off, and the margin recovered to about 25% by Q1 FY27. Unbound's margin is the other turnaround: management says it was between 12 and 19% depending on who you ask and the date, and the plan is to exit FY27 at 25 to 30%.

Sixth, cash. Collections are the plainest test of whether customers value what they are billed for. Days sales outstanding fell from 53 in March 2025 to 38 in September 2026, and operating cash flow was 83% of EBITDA in FY26 after a weak 48% in FY25, against a ten-year average of about 72%. The company repaid the loan it took for Unbound within six months and now has about Rs 163 crore in cash and no debt.

And the runway? Management's own sizing is the most useful: it says it has about 0.5% of its serviceable market. At FY26 revenue, that implies a serviceable market of about US$18 billion, not the US$800 billion in the glossy deck, and getting to 1% would roughly equal the Vision 2027 revenue target. The ceiling is therefore not demand. It is people, client budgets, and the price of the work as AI makes it less costly to produce.

> **NARRATOR'S REFLECTION: FLOORS, CEILINGS AND TIMELINES**
>
> *"Trust a management's description of the future in proportion to the accuracy of its description of the past."*
>
> When I audited twelve dated promises, a pattern leapt out. Where management controls the variable (an EPS threshold, a margin range, an EBITDA floor) it has been conservative and has delivered or beaten. Where success depends on customers, sellers or timing (a turnaround in Corporate Learning, the pace of acquisitions, growth in an acquired business) it has been optimistic and has run late. A sensible reader treats the first kind of promise as a floor and the second as a hope.
>
> - Two promises delivered, three delivered at a cost, three partial, two missed and two too early to call.
> - The FY28 Rs 1,500 crore revenue target needs about 40% annual growth from FY26 and, by management's own words, acquisitions that have not yet been announced.
> - The cleanest evidence of AI productivity is margin on flat headcount, not a disclosed AI revenue line.

The audit, promise by promise

Let me take you through a few of the promises, because the pattern shows up better in the specifics. In November 2024 the CEO told analysts he felt very comfortable sustaining a margin of 30 to 32%. FY25 came in at 29%, a shade under, but FY26 was 30.7% and the first half of FY27 was 34.3%. Delivered, and then some. In the same call he said FY26 would be a big, big banner year for the e-learning business, and three months later the segment head said its margins were here to stay. Then reality: Corporate Learning revenue fell 16.5% and EBITDA fell about a third. That promise was missed, and missed three different ways.

Now the one I find most instructive, AJE. The CEO called it MPS 2.0 when it was acquired: another business with an obvious fix. And the fix worked. AJE's margin went from the low twenties to above 30% within a year, and its American entity earned Rs 52 crore before tax in FY26 against a purchase price of Rs 70 crore. But the promised strong organic growth did not arrive: AJE's revenue fell by almost a third as management pruned what it called an inflated base. A margin promise kept, a growth promise reversed. It is why I call it delivered with a cost.

And then there is the promise that quietly changed. In late 2024 and early 2025 the CEO said the company would stop giving short-term guidance because it was a distraction. By May 2026 it had guided EBITDA for FY27 above Rs 300 crore, and by November it had raised the floor to Rs 310 crore. I do not mark them down for that; more disclosure is better. But it does tell you that stated policies on communication are not binding, and that is useful to know.

Two more promises round out the picture. The first is about capital. For years the company has said it funds deals from cash first, debt second and equity last, and that capital must earn its return within twelve months or go back to shareholders. In FY26 it paid for most of Unbound from cash, borrowed Rs 42 crore for four years, repaid the loan in six months, and skipped the final dividend. You can call that discipline or you can call it flexibility; both words fit. The second is the Vision 2027 target of Rs 1,500 crore of revenue by FY28. The halfway mark was reached on schedule in FY25, though roughly nine-tenths of that year's increase came from AJE. The rest of the climb, at about 40% a year from FY26, would need acquisitions the company has not yet announced; at the pace of the latest half-year, organic growth alone gets to roughly Rs 1,070 crore. The CEO calls the target intact and in absolute line of sight. I would call it a stretch whose outcome depends on a deal pipeline more than on the operating engine.

Where the optimism lives

If I had to summarise management's forecasting style in one sentence, it would be: precise where it controls the lever, hopeful where someone else does. Consider the acquisition pipeline. In May 2025 the CEO said the company usually does one or two acquisitions a

year. In November 2025 he said five deals were lined up back to back and that Rs 300 to 400 crore of acquisitions could be completed in twelve to eighteen months. A year later, one deal has closed, for Rs 140 crore, and the CEO says he would rather miss a deal than overpay. That is disciplined, but it is not the pace described.

There is a related point about the equity raising. In May 2025 the company had obtained an enabling resolution for a possible fund-raise to support a very large acquisition of Rs 300 to 700 crore. By November the thinking had become that debt should come first, with up to Rs 200 crore of borrowing, and equity was not on the cards for the near future. A prudent change of mind, but note the reversal.

The CEO's own explanation is that the company has always been conservative on numbers and that the few times it guided it comfortably beat the guidance. For the FY26 EPS promise, that is true, though the bar was low: nine months of earnings per share were already Rs 74.39, so only Rs 25.61 was needed in the final quarter, when the previous year's fourth quarter had delivered Rs 27.52.

The AI pricing question, honestly

The question every reader of this chapter should be asking is whether AI helps this company or hollows it out. Think about what happened in FY20: customers cut offshore production prices by about 20% on average, journals volume went to lower-priced vendors, and revenue and profit fell together. That was a human-labour price war. AI could be a much faster version of it. A competitor, Straive, markets to publishers on the promise of 30 to 40% lower operating costs, and says so on its website. That is the pressure MPS must absorb.

The CEO's argument is a bifurcation: AI compresses the price of commoditised work such as basic copy-editing and page-based content, while demand for trusted AI inside high-stakes workflows (peer review integrity, clinical answers, accessibility) expands. Notice the logic: commoditised work goes to a few scaled suppliers, which is where a company with 200 AI engineers wants to be. A twenty percent price cut needs twenty-five percent more volume to hold revenue; MPS has shown revenue growing 17 to 20% in the latest two quarters with headcount nearly flat. So far the evidence leans his way. In the CEO's words, “The risk for us

is not that AI will displace us." The risk, he says, is standing still while the market splits. The proof will be in the margin at the next big renewal.

CHAPTER VI

Chapter 6

> *"Profit is an opinion, cash is a fact, and the balance sheet is where the two are made to shake hands."*
>
> — UNDERWRITING RULE, FORENSIC DESK (HOUSE MAXIM)

Let me tell you how I read a set of accounts, because you will do this for the rest of your investing life and the habit matters more than any single company. I do not start with the profit. I start with three questions. Does the profit turn into cash? What is the balance sheet quietly carrying that the profit and loss does not show? And what has the management actually done with the cash? MPS is a good company to practise on, because it has ten clean years of numbers, three audited annual reports on my desk, and a recent acquisition, Unbound Medicine, that stress-tests every one of those questions at once. I am going to show you where the books are exactly as strong as they look, and where I would put a pencil mark in the margin.

First, the arc. In FY15 MPS had revenue of ₹224 Cr and an operating margin of 36 per cent. Look at what else was on the balance sheet: more than half of everything the company owned was financial investments, treasury, the savings account of a very cash-generative content business. Then the business changed shape. Acquisitions brought lower-margin work, depreciation climbed, the savings account was handed back to shareholders, and by FY20 the margin was 24 per cent and profit was ₹60 Cr. I think of this as a restaurant owner who spends a decade accumulating cash in the till and then reinvests it in new branches that take years to fill their tables. Then the tables fill. From FY21 to FY26 revenue compounded at 12.7 per cent and operating profit at 17.1 per cent; the cleaner measure, FY23 to FY26, is revenue at 15.3 per cent, EBITDA at 14.6 per cent and profit at 16.6 per cent. The share count did not move, so earnings per share grew exactly as profit did, 16.3 per cent in FY26.

Now the margin, and here is the first trick I want you to learn. A company tells you its margin; your job is to ask what has been put to one side. MPS reported an EBITDA of ₹236 Cr, 30.7 per cent of revenue, up from 29.0 per cent. True. But look at where the

improvement came from: employee cost fell from 45.1 per cent of revenue to 41.6 per cent, even though revenue grew and a new company was bolted on. Management attributes that to a cost reset in Corporate Learning, restructuring in AJE and AI in production, and the evidence on the calls is consistent with it. Yet the company took the ₹7.0 Cr labour-code gratuity charge and ₹2.1 Cr of severance below the EBITDA line as exceptional items. Put them back and the margin is 29.5 per cent, still better than last year, but half as impressive. When a company moves a cost out of the line you are measuring, put it back before you applaud.

The exceptional layer is where I slowed down. In FY26 MPS booked ₹29.7 Cr of exceptional gains and ₹22.0 Cr of charges, a net gain of ₹7.6 Cr. One gain is the Liberate story. MPS bought 65 per cent of an Australian learning company in FY24 and recorded an option to acquire the other 35 per cent as a liability of about ₹22 Cr. When it finally bought the rest in October 2025 it paid ₹5.1 Cr, so the unused liability was released as a gain of ₹15.7 Cr. That same year it wrote down ₹12.9 Cr of Liberate goodwill. The two entries are mirror images of one disappointing deal, and the only honest way to read them is net. The other gain, ₹14.0 Cr, was a policy change in the AJE business that released customer advances which had gone unused. I am not calling it wrong. I am telling you not to capitalise it, because a one-time accounting release is not a growth rate. The CFO herself said of the Liberate release, “On a going-forward basis, this is a one-off.” That is the right instinct, and the first half of FY27 was clean.

Cash is the question I care about most, and MPS passes the test I trust. Over the ten years to FY26, operating cash flow added up to ₹973 Cr against net profit of ₹972 Cr. That is a one-to-one conversion over a decade. FY26 alone looked extraordinary: operating cash flow of ₹197 Cr, nearly double FY25’s ₹101 Cr. Do not extrapolate it. Of the ₹96 Cr rise, ₹65 Cr is the reversal of a working-capital drain; in FY25 the company settled balances that had been unusually high at the end of an acquisition-heavy FY24, the unexplained ‘others’ in current liabilities and the employee payables, and in FY26 that stopped. What is left is a genuine ₹28 Cr improvement in operating cash flow before working capital and a year with almost no drag. The CEO told the Q1 FY27 call, “The business is throwing out INR15 crores to INR18 crores of cash every month,” and “Cash flow is normally fairly similar to PAT.” I would read

that as a fair description of the ordinary run-rate, with growth requiring about twenty-five rupees of working capital for every hundred rupees of new revenue.

Here is the part that confuses people on screens. The aggregator showed working-capital days falling from plus twenty-four to minus four in FY26. It sounds like a triumph. It is an acquisition effect. Imagine a hospital library that buys a subscription business: the new subsidiary arrives with its customers' annual prepayments sitting on the liability side, thirty-five crore of them, and trade payables of sixteen crore, against only three crore of receivables. The balance sheet suddenly looks like it has negative working capital, but the cash was received before MPS owned the company, and the service will be delivered afterwards. It is borrowed from the future, and for a renewing subscription book it is replenished each year, so it matters only if renewals slip. The aggregator's table showed the same pattern in FY24, the year AJE arrived, when working-capital days dropped to minus thirteen before snapping back to plus twenty-four. Strip Unbound's balances out and working capital would have risen from 25 to 30 days. The honest organic signal is that receivables plus contract assets crept from 83 to 91 days of revenue, and that is ordinary growth absorption, not distress. In the first half of FY27 the CFO reports DSO down from 51 to 38 days: "The earnings are also turning into cash."

The balance sheet is where the headline and the substance diverge most. Borrowings jumped from ₹4 Cr to ₹61 Cr in the aggregator's table, and one could read that as a company that started borrowing. Open the audited note and it is a ₹42 Cr ICICI Bank term loan drawn on 6 February 2026 to fund the Unbound equity, plus twenty crore of leases. The loan was ₹40.25 Cr at March and was repaid in full in August, with the CFO saying, "we carry zero debt, and we held INR163 crores of cash as on 30th September." That is the pattern of a rich buyer using a facility to bridge timing, which is how a conservative company behaves. But I do not want you to take away that MPS is a permanent no-debt company. The CEO told investors that an acquisition of ₹300 Cr to ₹500 Cr is doable with internal cash and debt, and that debt of ₹200 Cr is very comfortable. Near-zero debt is a feature of the last two years, not a commandment.

Which brings me to goodwill, because this is where I put my heaviest pencil mark. At March 2026 goodwill was ₹376 Cr, 40 per cent of total assets, and with acquired intangibles it is 52

per cent of assets and 83 per cent of equity. Unbound alone added ₹124 Cr of goodwill and ₹52 Cr of intangibles on a ₹140 Cr price. Goodwill is a promise on a spreadsheet: it says the acquired business will earn enough, for long enough, to justify what you paid above its tangible assets. Walker Chandiok has made acquisition accounting a key audit matter every year for three years, and in FY26 added the impairment test. I looked at which unit carries the weakest promise. Corporate Learning holds ₹100 Cr of goodwill against a segment result of ₹11 Cr, nearly nine times, after a year when revenue fell 16.5 per cent. The Liberate impairment has already been taken. The recovery that management describes, margin from about 16 to 25 per cent in the first half of FY27, is encouraging, but that is the one to watch.

NARRATOR'S REFLECTION: CASH IS A DECADE STATISTIC

"A single year of cash flow tells you who prepaid whom. A decade tells you whether the profit was real."

FY25 converted 0.68 times of profit into cash and FY26 converted 1.14 times. Neither number is the story. The two years together convert 0.90 times, and the ten years to FY26 convert exactly 1.00 times. The swing is balances settled after an acquisition-heavy year, not a change in the business. Judge cash conversion over at least five years, and always ask what the other side of the entry was.

- Decade view: operating cash flow of ₹973 Cr against profit of ₹972 Cr, FY17 to FY26.
- FY26 CFO of ₹197 Cr is mostly a reversal of a ₹64 Cr drain in FY25.
- Capital expenditure is about 1.1% of revenue, so free cash flow after leases was ₹183.6 Cr.

NARRATOR'S REFLECTION • FORENSIC WATCHLIST FOR THE LEAD

"What the numbers allow you to say, and what they do not."

These are the places where the audited numbers rest on a judgement, a reversal, or a disclosure we could not reconcile. None is a misstatement today. Each is where a surprise would appear first.

- Unbound goodwill of ₹123.9 Cr is provisional until February 2027; AJE's provisional goodwill was cut 28% in the same exercise.
- Corporate Learning carries ₹100.4 Cr of goodwill against a ₹11.3 Cr segment result.
- FY26 exceptional items netted to ₹7.6 Cr but included ₹14.0 Cr from an AJE advance-policy change; ordinary other income is 41% write-backs.
- Acquired deferred revenue (Unbound ₹35.0 Cr) flatters working capital on arrival; if renewals slipped, it would be recognised as revenue without new cash.
- Audit-trail exception three years running, three different ROCE figures, and an unreconciled ₹36.3 Cr income-tax dispute schedule versus a ₹4.0 Cr contingent-liability note.
- Promoter holding-company merger pending at the tribunal; its liabilities and the independent expert's report have not been read.

Reading the auditor's pages like a mentor

Most people skip the auditor's report because it looks like boilerplate. Do not. The three pages that matter are the key audit matters, the exception list, and the Annexure that deals with disputes and defaults. In MPS's case the verdict is clean: unmodified opinion, no going-concern doubt, no emphasis of matter, internal financial controls reported effective, no fraud noted, no covenant breach on the ICICI loan. That is a good starting position and I want you to say so aloud before you start criticising.

Then read what the auditor chose to spend its effort on. In FY24 it was revenue recognition and the two acquisitions of that year, Liberate and AJE, including the put-and-call option on the remaining Liberate stake. In FY25 it was revenue and the AJE purchase-price allocation. In FY26 it was revenue, the Unbound acquisition, and for the first time goodwill impairment. Three years running, acquisition accounting is where the auditor sees the most judgement. That is not a criticism of the auditor or the company. It is a map of where the subjectivity in the earnings sits.

Two other items deserve a pencil mark. The first is the audit-trail exception. Since April 2023, companies must use accounting software whose edit log cannot be switched off, and auditors must report whether it worked. MPS's auditor has reported the same exception in FY24, FY25 and FY26: the main accounting software does not log direct changes at database level, and the payroll provider's assurance report is silent. A systems fix, not an earnings issue, but three years is long enough that I would want it fixed. The second is the tax-dispute schedule: the Annexure lists income-tax demands totalling ₹36.3 Cr, while the contingent-liability note shows ₹4.0 Cr. The most likely explanation is that most of it is provided or expected to be reversed. But it is not explained, and I do not guess about numbers.

Returns, dividends and the people in the room

Return on capital employed has risen from 17 per cent in FY20 to the high thirties, and I want you to understand why before you celebrate it. In FY20 the company was carrying a large cash balance that earned little and a 24 per cent margin. Over the next five years it paid the cash out, grew revenue by 119 per cent on a capital base that grew 25 per cent, and recovered margin from 19 to 25 per cent on our measure. About two-thirds of the improvement is capital turnover and one-third is margin. In FY26 the ratio dipped on every audited and reproducible measure, 37.1 per cent to 35.4 per cent in the audited note, because Unbound's capital arrived with 50 days of earnings. The CEO's letter quotes 38.2 per cent; I could not reproduce that number and would use the audited 35.4.

Capital allocation has been, in the CEO's words, "capital must earn its return within 12 months, or it goes back to the shareholders." The record supports it: ₹651 Cr returned between FY19 and FY25, which is 99 per cent of cumulative profit, including a ₹104.6 Cr buyback in FY22. In FY26 the Board declared no dividend because Unbound consumed the cash. Note two things. The aggregator shows a zero payout, but cash dividends paid in FY26 were ₹86.7 Cr, the FY25 final; and the policy is, by construction, a residual, so dividends will fall when acquisitions rise. Treat the ₹651 Cr as evidence of intent, not a schedule.

On dilution and governance there is little to worry about on the numbers. The share count has been 17.1 million since the FY22 buyback, options outstanding are under one per cent,

the employee trust buys shares in the market rather than issuing new ones, and related-party business is ₹3.1 Cr a year. The one structural event to track is the planned merger of the promoter's holding company, ADI BPO Services, into MPS. The shareholders voted overwhelmingly in favour in August 2026 and the tribunal process is moving; reports say the promoter's 68.34 per cent will be cancelled and re-issued to ADI BPO's own shareholders with no change in the count. That should simplify the structure. I would still read the fairness opinion and ADI BPO's financials before calling it a non-event.

Our verdict on earnings quality

Put the strong and the weak side by side. Strong: a decade of one-to-one cash conversion, capital expenditure near one per cent of revenue, free cash flow after leases of ₹183.6 Cr, a stable share count, a loan repaid within six months, ₹163 Cr of cash and no bank debt at September 2026, receivables that are collected, and a clean audit opinion. Weak: ordinary other income that is 41 per cent write-backs, an exceptional layer that helped FY26 by ₹7.6 Cr net and ₹29.7 Cr gross, a policy change releasing ₹14.0 Cr of customer advances, a tax rate 1.5 points lower than last year, goodwill and intangibles at 52 per cent of assets, one segment carrying nine times its result in goodwill, three versions of ROCE in circulation, and an audit-trail exception that has persisted for three years.

Our independent judgement is a B-plus. The cash is real and the balance sheet is genuinely clean; the profit and loss account is slightly more flattering than the cash flow statement, by roughly three rupees in every hundred of pre-tax profit from exceptional gains, plus about one and a half from the lower tax rate. Underlying pre-tax growth in FY26 was nearer thirteen per cent than sixteen, still a good number. If you remember one thing from this chapter it should be this: for MPS, trust the cash flow statement first, the balance sheet second, and the reported profit third, and watch the places where acquisitions send paper gains and paper liabilities through all three.

CHAPTER VII

Chapter 7

> *"Price is what you pay; value is what you get."*
>
> — BENJAMIN GRAHAM, AS QUOTED BY WARREN BUFFETT IN THE 2008 BERKSHIRE HATHAWAY SHAREHOLDER LETTER

Let me start with an admission that surprises people. After six chapters in which I praised this business, the valuation does not shout bargain. I wanted you to meet the company before you met the price, because a price is a mood and a business is a fact. Now we put the two side by side, and I want you to resist both of the lazy answers, the one that says great company, buy it, and the one that says it ran up, avoid it.

At the ledger close of ₹2,297 the market values all of MPS at about ₹3,929 crore. Take off the ₹163 crore of cash, add the small lease liabilities, and the business as a going concern costs about ₹3,784 crore. Against the 12 months of earnings it has actually reported, that is about 21 times profit. Against what we expect it to earn in this financial year, about 18 times. Against EBITDA, 12 to 14 times. Those are the numbers of a good business at a fair price. The company has no bank debt, converts profit into cash at about one-for-one over a decade, and earns a 35 to 39% return on capital. If you had to guess the multiple of a company like that without looking, you might say 25 or 30. You would not be far off the history, which is the point of the next few paragraphs.

Here is how I read the multiple's history. Over the last ten years the stock has traded between 4.7 and 41.7 times trailing earnings, with a median of 17.6. Over the last five years the median is 22.7. Today it is 22.7. So we sit exactly in the middle of the recent band and above the long-run median. The market is not discounting a disaster, and it is not offering a gift.

What interests me more is the journey. In March 2025 the stock was at 41.7 times trailing earnings. Twelve months later, in March 2026, it was at 16.0 times, and the price had fallen by about half, even though earnings per share had risen by a quarter. That is a lesson in what moves this stock. It is not earnings, which have risen almost every year since FY22. It is what the market thinks those earnings are worth after the next few years. And in February and

March 2026 the market thought something about AI that it applied to almost everything that sells labour or content: Indian IT lost around 28% from its high, the biggest January-to-March fall since 2008, and the information publishers Thomson Reuters, RELX and Wolters Kluwer lost 13 to 16% in a single day.

I want you to hold two thoughts together. MPS's low of the year came in the same week as the sector's, so its de-rating was a sector event rather than a company event. But the peers have not recovered: Datamatics is down 18% in a year, NIIT Learning Systems down almost 50%, Newgen down almost 56%. MPS is flat. Flat sounds calm, but it hides a fall of 52% followed by a rise of 110%. When a stock does that in a year, you should not treat today's price as the anchor of a stable consensus. It is a station on a very bumpy ride.

Now the question every investor should ask before any forecast: what is this price already assuming? I call that a reverse DCF. Take the current enterprise value, decide what return you want, and work backwards to the growth rate that makes the arithmetic balance. With a 13% required return and 5% terminal growth, the market is paying for free cash flow of about ₹214 crore this year growing at roughly 12.6% in the first year and fading to 5%, about 8.8% a year on average, reaching about ₹496 crore by year ten. Does that sound heroic? To me it does not. The company grew EBITDA at 17.1% a year over the last five years and 10.2% a year over eleven. The price assumes a decade at about the lower of those two.

But please see the grid for what it is. At a 12% hurdle the answer drops to 9% in year one, and at 14% it climbs to 16%. The price is not a single number but a conversation about your required return. The discount rate matters more than any growth assumption you or I will make about the next ten years.

Set that beside what management has promised. For this financial year the CFO has raised the floor for EBITDA to at least ₹310 crore, and the first half has already delivered ₹154 crore. That alone is a rise of about 31% on last year's ₹236 crore, and my free-cash-flow starting point already includes it. Beyond this year, the company's Vision 2027 points to ₹450 crore of EBITDA in FY28, but the CEO himself says that figure combines organic growth with acquisitions. The price does not pay for it. At our base case of ₹360 crore the stock sits at only 16 times FY28 earnings, so a deal that actually lands is upside the market has not capitalised, and a deal that never comes costs the stock very little.

Now, where is the market's scepticism? It sits in four places, and I think they are the right four. First, AI price give-back: the CEO told the Q2 FY27 call, in his words, “Customers expect to share in our productivity, and they do, but we kind of make that up through more volume.” A 20% price cut needs 25% more volume just to stand still. Second, Research margin: it has gone from the low 40s to 48%, and on last year's revenue each point is worth about ₹4.6 crore, so a return to 40% would cost roughly ₹37 crore of EBITDA. Third, concentration: one customer is more than a sixth of revenue. Fourth, acquisition accounting: more than half the balance sheet is goodwill and intangibles. None of that is an accounting flaw. All of it is a reason why this stock has not been, and should not be, paid 41 times again.

That brings us to the scenarios. We value the stock twelve months out, in about November 2027. A trailing multiple must be applied to trailing earnings, so I show you two readings. The first, which I call basis A, uses the last full fiscal year's EPS, which is how the band itself was built. At that date it is FY27's EPS. The second, basis B, uses the last twelve months of earnings, the average of the FY27 and FY28 estimates. Basis B is my central case because markets price on current earnings. Basis A is the stress case. On basis B, the bear case has EBITDA of ₹300 crore this year and ₹295 crore next. Trailing EPS is ₹116.4, and a 14 times multiple (near the 25th percentile of the band) gives about ₹1,630, 29% below today. The base case has EBITDA of ₹315 crore and then ₹360 crore. Trailing EPS is ₹133.9, and 18 times (near the median) gives about ₹2,410, 5% above today. The bull case has ₹330 crore and then ₹420 crore. Trailing EPS is ₹150.4, and 22 times (near the five-year median) gives about ₹3,310, 44% above. Weight them 25, 50 and 25 and you get ₹2,440, 6% above the close. On basis A the same weights give ₹2,254, 2% below the close, and the base value is ₹2,241.

Be honest about what these numbers mean. A 6% expected return from today's price on the generous basis, and a small loss on the strict one, is thin for a business of this quality. The base case gives 5% on basis B and minus 2% on basis A. The bear case gives minus 29% or minus 28%. A margin of safety is not an expected return; it is how much you can be wrong and still be fine, and at ₹2,297 you cannot be very wrong. Enter lower and the weighted returns are 13.5% from ₹2,150 and nearly 18% from ₹2,070 on basis B, and 4.8% and 8.9% on basis A. The weights are a judgment too. Move to 35, 45 and 20 and the basis B value

drops to about ₹2,317. The decision does not hang on the weights. It hangs on reward-to-risk at the support zone.

> **NARRATOR'S REFLECTION: A MULTIPLE IS A MOOD ABOUT THE YEARS AFTER NEXT**
>
> *"When earnings rise by a quarter and the multiple falls by sixty percent, the market is not disagreeing about next year; it is changing its mind about the years after that."*
>
> The 2026 AI debate was a debate about terminal value. Nobody can forecast whether production vendors will keep a margin in 2032, so the multiple swung from 41.7 times to 16.0 times and back to 28.9 times inside eighteen months. The right response is neither to buy the fear nor to wait for certainty. It is to ask what the price assumes about the years after next and whether our evidence is better or worse than that assumption.
>
> - The price already assumes about 7 to 10% annual free-cash-flow growth for a decade, which is below recent delivery.
> - The discount rate you choose decides the answer more than any growth forecast.
> - The multiple, not earnings, is the volatile variable in this stock.

GLOBAL PARALLEL • NETHERLANDS, GLOBAL; THE AI-DISRUPTION DE-RATING OF FEBRUARY TO NOVEMBER 2026 • WOLTERS KLUWER (INFORMATION, SOFTWARE AND SERVICES) (CYCLE_VALUATION)

A quality, cash-generative information franchise with 83% recurring revenue was sold off on a technology-disruption narrative . On 3 February 2026 Anthropic released a legal plug-in for Claude. Thomson Reuters, RELX and Wolters Kluwer fell 16%, 14% and 13% in a day. Morningstar noted that the stocks had been de-rating since summer 2025. It kept its wide-moat view that day. On 5 March 2026 it downgraded Wolters Kluwer and Thomson Reuters to a narrow moat . The reported fundamentals did not move. FY25 revenue was €6,125m, up 6% organically. Adjusted operating margin was 27.5% (27.1% in 2024). Diluted adjusted EPS was €5.29, up 9% in constant currencies. Adjusted free cash flow was €1,348m . In the first nine months of 2026, organic growth was 6% and adjusted operating profit rose 10% in constant currency. Guidance was reaffirmed on 4 November 2026 . The company's own buyback prices show the multiple. The average was €128.45 in 2025 (8.6m shares, €1.1bn). It was €75.79 from January to 24 February 2026. It was €67.97 to 3 November 2026 (3.9m shares, €264m) . On FY25 EPS of €5.29 that is about 24.3x, 14.3x and 12.8x (desk arithmetic). The average price fell about 47% while EPS rose. Average buyback prices are a proxy for the trading price, not a quote. A good franchise de-rated 47% while its earnings kept rising. Either the market is right that the terminal value is impaired, or it is paying you to wait. Wolters Kluwer shows that the answer comes from organic growth and margin over the next several reporting periods, not from the multiple. MPS followed the same arc, with 41.7x falling to 16.0x while EPS rose. The twin also cuts the other way. Morningstar's narrow-moat downgrade means the de-rating was not irrational. Management puts MPS's recurring revenue at about 45% against Wolters Kluwer's 83%. The case for a permanent discount is therefore stronger here.

The Twin: Wolters Kluwer's Year of Falling Multiples

Every investor wants to know whether a drama has happened before. The best case I can show you comes from this very year. Wolters Kluwer is a Dutch information company with 83% of revenue recurring. It sells tax, legal, health and compliance software and content to professionals. In 2025 its revenue was €6.1 billion, up 6% organically; its adjusted operating margin was 27.5%; its adjusted earnings per share were €5.29, up 9% in constant currencies.

Then came 3 February 2026. Anthropic released a legal plug-in for its Claude assistant, and in a single day Thomson Reuters fell 16%, RELX 14% and Wolters Kluwer 13%. Morningstar's analyst wrote that the stocks had already de-rated sharply over the previous

year and that the plug-in had nothing to do with legal research, the heart of those businesses. A month later, the same house cut its moat rating on two of the three to narrow. Which of the two views is right? That is precisely the argument.

Here is what the company's own buyback prices say. In 2025 Wolters Kluwer bought back 8.6 million shares at an average €128.45. In the first weeks of 2026 the average was €75.79, and by 3 November 2026 the year-to-date average was €67.97. Divide by the 2025 earnings of €5.29 and the multiple went from about 24 times to about 14 times and then about 13 times. A drop of roughly 47% in the average price, while earnings kept growing and the nine-month update on 4 November reported organic growth of 6% and adjusted operating profit up 10%.

Does it map to MPS? Partly. MPS also saw its multiple fall by 60% while earnings rose. But I want you to notice the difference. Wolters Kluwer's revenue is mostly recurring software and content with high switching costs. MPS has a large book of production work whose unit price AI is pushing down, plus platforms and a medical-knowledge asset that look more like Wolters Kluwer. The market's decision to charge MPS a lower multiple than it used to is not irrational. The question is whether it charges too low a multiple, and the way to answer is the same one Wolters Kluwer's investors face: wait for the next several reporting periods and watch organic growth and margin.

Peers: Why 'Cheap' Is the Wrong Word

Let me walk you through the three Indian peers, because the table says something subtler than the word cheap. Datamatics has a 15.9% operating margin and a 20% return on capital. NIIT Learning Systems has a 12.9% margin and a return of about 21%. Newgen has a 23.7% margin and 25%. MPS has a 29.5% margin and 38.7% return on capital with almost no debt. MPS is the best business of the four by every measure, and the market pays a P/E of about 20.7, barely above Datamatics at 18.9.

You might reasonably say: so MPS must be cheap against its peers. I would say: look at what the peers have done in a year. They are down 18, 50 and 56%. The market has been taking a hammer to this whole group, and the peers are not recovering. MPS's flat one-year move

already includes a spectacular rebound. The peers are cheaper because their multiples are still being compressed; MPS's has partly bounced back.

The global names teach the rest. RWS, the language-services company, lost about six points of margin in a single year as machine translation cut unit prices, and had to write off £88 million of goodwill. That is what deflation looks like when it arrives. Skillsoft's revenue fell 6% in a quarter, a reminder of what corporate learning can do. Innodata grew 53% in the latest quarter at an 18.5% EBITDA margin, which shows AI creating demand for human judgment but with project contracts that can be cancelled at will. And Wolters Kluwer Health earns a 32% margin by selling expert-written clinical content that now sits inside an AI product. MPS's FY26 margin of 30.7% lies in the middle of that range, and the whole question is which side of it the company ends up on.

From Fair Price to the Wait: The Bridge to the Tape

Let me end by tying this chapter to the next, because the two together produce the decision. On valuation, the price is not demanding. The reverse DCF needs a decade of free-cash-flow growth that the company has comfortably beaten over five years, the multiple sits at its five-year median and the probability-weighted value is ₹2,440. If valuation alone were the test, it would argue for owning the stock.

But asymmetry is the test that matters, and it is mathematical. Our invalidation is a daily close below ₹2,005, under the 200-day average. The base value is ₹2,410 on basis B and ₹2,241 on basis A. At ₹2,297 you would risk ₹292 per share to make ₹113 on basis B. That is a ratio of 0.39 to 1. On basis A the base value is below the price, so the ratio is minus 0.19 to 1. Both fail our 1.5 hurdle. At the 13 November print of ₹2,259.30 the ratios are 0.59 and minus 0.07, still short. At the top of our support zone, ₹2,150, you would risk ₹145 to make ₹260 on basis B, a ratio of 1.79 to 1. On basis A you would make only ₹91, a ratio of 0.63 to 1. At ₹2,070 you would risk ₹65 to make ₹340 on basis B and ₹171 on basis A. The ratios are 5.23 and 2.63. So ₹2,070 clears the hurdle on both bases, and ₹2,150 clears it only on basis B. Same business, same targets, different entry price. Note how thin the ₹2,150 cushion is. That tranche needs a base value of at least ₹2,367.50. Basis B clears it by 1.8% and basis A misses it by ₹126.5.

This is why I say the business passes and the price does not yet. A fair price is not a reason to buy, because fair prices are common. A fair price with a reward at least one and a half times the risk is rarer, and the tape in Chapter 8 will show you why it may well be offered lower. The CEO said on the Q2 FY27 call that "I would rather miss a deal than overpay." (Chairman and CEO Rahul Arora, Q2 FY27) It is the right instinct for a company buying companies, and it is a good rule for those of us buying the company.

CHAPTER VIII

Chapter 8

> *"Underwriting Rule: a chart cannot tell you what a business is worth. It can only tell you who is in a hurry, and whether that person is buying or selling."*
>
> — RESEARCH DESK HOUSE MAXIM

Let me start this chapter by admitting something. Everything we have done up to now was about the business, and you and I came away from it with a company that earns a 38.7 per cent return on capital, carries no bank debt and has just raised its own guidance. A reasonable person would ask why we are not simply buying it. This chapter is the answer, and it is not about the company at all. It is about the stock, which is a different animal.

Picture the stock on a weekly chart. For five months it ran from ₹1,367 to ₹2,931, a gain of 114 per cent. Then on 7 August it made its high, on heavy volume, on a good day. In the fourteen weeks since, it has drifted down to ₹2,297, a fall of about 22 per cent. That is not a crash. It is something subtler and, in my experience, more dangerous: a slow leak in which nothing dramatic happens and yet the bid keeps stepping back a few rupees at a time.

How do I know it is a leak and not a rest? Three things. The fifty-day average, which was ₹2,704 three weeks ago, is now ₹2,517 and falling. The ledger counts nine distribution days in the last twenty-five sessions, which are days when the price falls on higher volume than usual. And when I split the sessions since the peak into up days and down days, the down days average about 22,000 shares and the up days about 17,000. The sellers are, on balance, a third more energetic than the buyers.

Now I want you to hold the other side of the picture in your head too, because honest technical work always has one. The stock is still above its rising 200-day average. The long-term trend has not been broken. The average volume has fallen by about two-thirds from the rally days, which means the selling is not panicked. On 4 November, the day of the results, the shares dipped to ₹2,155, more than 8 per cent below the prior close, and the buyers appeared. The very same level had held on 27 October. A level that is tested twice and holds twice is worth writing down.

So where does that leave us on the Weinstein map? The ledger, which looks at daily averages, says Stage 3: topping, pulling back. The 13 November snapshot, which looks at the weekly 30-week average, says Stage 4, because the shares closed at ₹2,259.30, a mere 0.12 per cent below that average of ₹2,262.01. I will be frank with you: this is a boundary, not a verdict. The thirty-week average is still rising, so the long-term uptrend is technically intact. But when two reasonable measures disagree and one of them says decline, I let the stricter one decide the timing. A mistaken wait costs a little upside. A mistaken entry costs a lot more.

Let me give you the four lines I look at, in plain words, because they are the vocabulary of this whole chapter. The thirty-week average is the referee: Stan Weinstein built his method around it, and it is simply the average of the last thirty weekly closes, about seven months of trading. It stands at ₹2,262 and the price is sitting on it. The ten-week average is the quick line, and it is at ₹2,416 and has been falling for six weeks. The fifty-day average, at roughly ₹2,500, is the ceiling the stock would have to reclaim to say the fall is over. And the two-hundred-day average, at about ₹2,070, is the floor under everything. Three of those lines are above the price and one is below. A stock in that arrangement is not in trouble yet, but it is not in a place where I would put new money.

One more correction, because it will save you from a trap. The options tool that supplied the weekly numbers wrote that the stock is stabilising above the shelf, with short-term momentum turning up. Look at its own data: the price is on the shelf, slightly under it, below the four-hour average it says it is above, and its own turn flag is set to false. Automatic commentary is a convenience, not a source. The numbers, not the sentences, are what I trust. And while we are on the tools, MPS has no futures and options contract on the NSE, so there is no clever derivative to express this view with. Cash equity is the only instrument.

There is also the question of where we are in the larger swing. Take the advance from the March low of ₹1,367 to the August high of ₹2,931. The market has so far given back about 40 per cent of it, and halfway down that climb, at ₹2,149, is almost exactly the top of the zone I will tell you about shortly. If the stock gave back sixty-two per cent, to ₹1,964, it would have dropped under my stop and told me the whole March-to-August advance was in doubt. That is how I think about a retracement: not as a magic number, but as a ruler laid against the move that came before.

Then there is the matter of who is trading the stock. Foreign institutions held 3.71 per cent in December 2023 and hold 1.49 per cent today. Domestic institutions went from 0.56 to 2.11 per cent. The number of shareholders rose from about 15,700 to 26,300. Put plainly, the stock rose to ₹2,931 on a base of retail investors and a few domestic funds, with the promoter holding 68.34 per cent and not trading. With about 18,000 shares a day changing hands, you could say the stock has the liquidity of a village market. That does not make it bad, but it means prices overshoot in both directions.

Finally, a word about relative strength, which is the polite name for asking whether a stock is beating or trailing the market. Against the Nifty, MPS has lagged by about 27 per cent over 28 days and 23 per cent over 63 days. Against its three listed peers it is still the winner over a year, since all of them are down 18 to 56 per cent. I find that combination oddly comforting and oddly worrying. Comforting, because the market has been telling the difference between this business and its competitors. Worrying, because a leader that has begun to roll over is usually the last domino and not the first.

> **NARRATOR'S REFLECTION • WHY A THIN STOCK NEEDS LIMIT PRICES**
>
> *"A level that is tested twice and holds twice is worth writing down."*
>
> With roughly ₹4 Cr changing hands on an average day, a single large order can move MPS several per cent, and a stop-loss that fires on an intraday spike can hand the position to a market maker at the worst price. Our own first fill, about ₹1.4 lakh, is tiny compared with the day's turnover, so size is not the problem. Speed and spikes are.
>
> - Enter and exit with limit prices, never at market.
> - Judge the ₹2,005 stop on a daily close, not on an intraday print.
> - Work each tranche over several sessions rather than in one clip.

> **NARRATOR'S REFLECTION: THE LEADER THAT STOPPED LEADING**
>
> *"A leader that stops leading is not a laggard, yet it is no longer the stock to chase."*
>
> Over a year MPS is flat while Datamatics, NIIT Learning Systems and Newgen are down between 18 and 56 per cent. It is the best of a poor group. But over the last three months it has fallen about as far as they have, and its relative strength against the Nifty is a negative 27 per cent over 28 days. The best names crack last, and they crack from a higher price.
>
> - MPS is not on the weekly list of 465 Stage 2 stocks.
> - None of the three listed peers is either; all are in Stage 4.
> - Waiting costs little, because many other stocks have better charts.

The stock's own history: three halvings and a ten-bagger

Let me walk you through the stock's life since 2015, because it is the best argument I have for patience. In April 2015 the shares peaked at ₹1,022. Over the next 46 months they fell to ₹432, a drop of 57.7 per cent. The reasons were ordinary and cumulative: a large amount of cash raised in 2015 that sat idle, a year in which sales fell, and then the acquisition of Tata Interactive in 2018, which dragged the margin from 33 to 26 per cent before it was restructured. The trailing earnings multiple went from 31 times to 11.5 times.

Then came the part that nobody who lived through it forgets. From a November 2019 weekly close of ₹588, the stock lost 67.5 per cent in under five months to ₹191. FY20 had brought price cuts, vendor consolidation and a platform customer moving work back to its own captive, and then Covid arrived. At ₹191 the stock traded at 4.7 times earnings. And yet five years later, in March 2025, it stood at ₹2,898, a gain of 1,416 per cent. HighWire, the eLearning restructuring, the buyback, Liberate, AJE and a return on capital that reached 41 per cent made one of the best compounding runs on the exchange.

Then the third halving: 51.9 per cent in 11 months, from ₹2,898 to ₹1,393 in March 2026, as AJE revenue shrank, Corporate Learning fell, and the whole listed peer group was marked down. The multiple went from 41.7 times to 16.0 times. And then, within five months and on one very good quarter, the stock doubled again to ₹2,931, a multiple of 28.9 times. Today, at 22.7 times, it sits at the five-year median.

What does a mentor take from that? That the stock does not move with the business, it moves with what the market is willing to pay for the business, and that willingness swings between 5 and 42 times earnings. Three drawdowns of more than 50 per cent in eleven years is not a flaw in the stock. It is the price of owning a high-return compounder in a thinly traded corner of the market. And that is why the first fill is capped at half of what the tier would allow, split into two unequal tranches, with two-thirds as the core order at ₹2,070 and the smaller third at ₹2,150 only if the numbers allow, with the rest held back until the chart has turned and the numbers have been redone.

The entry zone, and why the stop sits where it does

Here is how I arrived at ₹2,070 to ₹2,150. The upper edge, ₹2,152, is the low the stock made on 27 October and nearly repeated on 4 November. It also happens to be where half of the March-to-August advance has been given back, which is a level that technicians watch. The lower edge, ₹2,069, is the rising 200-day average, and the TradingView monthly support at ₹2,066 lines up with it to within rupees. Four independent measurements in a band about 4 per cent wide is not a coincidence; it is a floor.

The stop at ₹2,005 sits below that floor by about half of one day's typical range. It is 6.74 per cent below ₹2,150. If the price closes beneath it, the 200-day average has failed, the second shelf at ₹1,964 is probably going as well, and the nearest meaningful support is ₹1,811. I would rather admit I was early and step aside than average down into a Stage 4 decline. The CFO told the Q2 FY27 call, “we expect FY27 EBITDA to be at least INR310 crores,” and the business may well deliver that. A stock can still fall while a business delivers, as the 4 November session showed.

The arithmetic of patience has two versions, and I want you to see both. The first values the business on the earnings it should have reported over the twelve months to November 2027, at 18 times. That gives a base value of ₹2,410. The stricter version uses the last full fiscal year's earnings, FY27, with the same multiples. That gives ₹2,241. From ₹2,070 the reward is more than five times the risk to the stop on the first version and about 2.6 times on the second. From ₹2,150 it is about 1.8 times on the first and only about 0.6 on the second. From today's ₹2,297 it is about 0.4 on the first and negative on the second. That is why the

₹2,070 order is the core and the ₹2,150 order is conditional. The business passes the test, and the price, today, does not.

You may ask how I can respect a Stage 4 warning and still leave limit prices in the market. They are different trades. The warning forbids buying at today's price or on a bounce. The ₹2,070 limit is the core, and the ₹2,150 limit is conditional. Both are a half-size, counter-trend entry at the rising 200-day average, inside a long-term uptrend, taken only where the reward is clearly larger than the risk. I abandon it if the daily close breaks ₹2,005. It is not a claim that the trend has turned.

What would change my mind, and what I will not do

I will change my view in two directions. If the stock closes a week above the thirty-week average with the ten-week average turning up and volume at least twice its recent norm, or closes a week above the falling fifty-day average near ₹2,500, I will treat it as a candidate for a fresh re-underwrite. That does not release the rest of the position automatically. I will redo the base value from the latest results, re-base the stop, and add only if the reward is at least one and a half times the risk. At ₹2,500 today's base value of ₹2,410 would give a negative reward. If instead it closes a day under ₹2,005, I will treat the decline as confirmed, cancel the alert and look at ₹1,811 and the March base at ₹1,336 to ₹1,393 as places to start watching again, not as places to buy.

What I will not do is chase. The CEO told the Q2 FY27 call, “I would rather miss a deal than overpay,” and I intend to hold myself to the same rule with the shares. He was talking about acquisitions, but the logic is the same. There will always be another entry point for a business that is this good, and there will not always be another chance to avoid a bad one.

Chapter 9 now takes everything in these pages, the tape, the flows, the cycles and the zone, and puts it next to the valuation to give the verdict and the sizing. You already know where it is heading.

CHAPTER IX

Chapter 9

> *"Underwriting Rule: a great business is a reason to do the work, not a reason to pay any price."*
>
> — RESEARCH DESK HOUSE MAXIM

Here is where we stop admiring the machine and decide what to do with it. Five chapters ago you and I opened the hood on MPS: a 56-year-old content-engineering franchise that sits inside the production line of the world's biggest scholarly and education publishers, turns a rupee of cash flow into roughly a rupee of profit, spends about one percent of revenue on capital equipment, and is debt-free again. We called that a compounder. I still do. And yet the verdict I am handing you is to wait, with no allocation at today's price.

Let me say that plainly, because it is the sort of sentence that sounds like hedging and is not. The business passes. The new-capital verdict is wait for support, conviction tier two, zero allocation at the current price. You do not hold the stock, so there is nothing to sell. What you hold is a decision about whether to spend new money, and I want to show you why the honest answer today is not yet, and what price and what evidence would turn that into a yes.

Start with the tape, because it is the part you can see. On the last verified session, 12 November, MPS closed at ₹2,297. The next day, in a later print we have not yet been able to verify with the exchange data, it closed at ₹2,259.30. Either way the stock is about twenty-three percent below its August high of ₹2,979, it is trading under a falling fifty-day average near ₹2,500, and it has just made nine distribution days in twenty-five sessions on thin volume. One of our two classifiers calls that Stage 3, a topping or pulling-back phase; the stricter one already calls it Stage 4 because the price is sitting just under its thirty-week average. The honest summary is that the stock is at the boundary between the two.

Now the price tag. Multiply our three outcomes by their odds: a bear case at ₹1,630 with a one-in-four chance, a base case at ₹2,410 with even odds, and a bull case at ₹3,310 with a one-in-four chance. You get a probability-weighted value of ₹2,440. That is only six percent

above ₹2,297. And that is the generous reading. The multiples we use come from a history built on the last reported year of earnings. If you value the business on that same year-end basis, the weighted value is ₹2,254, a little below today's price. I treat the first reading as the central case and the second as the stress test. Now think about what you are being asked to accept. If you buy at ₹2,297 and our stop at ₹2,005 is right, you risk ₹292 a share to make ₹113 to the base case. That is not a bet. If you buy at ₹2,150, the top of the support zone, you risk ₹145 to make ₹260 on the central reading, a ratio of 1.8 to 1. On the stress reading it is only 0.6 to 1. At ₹2,070 you risk ₹65 to make ₹340 on the central reading and ₹171 on the stress reading, which is still better than two and a half to one. Same business, same forecast; only the price changed.

I want to be a fair judge of both sides, so let me argue the bull case as well as I can. The best evidence for it is the margin story. Research, which is sixty percent of revenue, went from a 36.8% EBITDA margin in FY25 to 48.2% in the latest quarter, on a headcount that barely moved. Top-five customers fell to forty-six percent of revenue. The company has ₹163 crore of cash and no debt. The CEO told the Q1 FY27 call that "the business is throwing out INR15 crores to INR18 crores of cash every month", and the audited accounts back that rhythm. If you want to believe in a quality compounder, that is what the evidence looks like.

And now the bear, which deserves equal respect. Every one of those margin gains has been earned while the customers have not yet renegotiated. The CEO said it himself on the same call: "Customers expect to share in our productivity, and they do, but we kind of make that up through more volume, and that's where the margin kind of comes from." Read that again. It says the customers will take some of the gain. The question is how much, and when. A translation-services group called RWS saw revenue fall four percent while its adjusted profit fell from £106.7 million to £60.4 million. That is what a price give-back looks like when it arrives: not in the top line, in the profit. MPS has not yet shown us a large renewal at AI-era prices. That is the hinge.

Add the acquisition ledger. Goodwill is ₹376 crore, forty percent of total assets. The AJE deal's provisional goodwill was cut by twenty-eight percent when the auditors finished; Liberate has already been impaired; and the Unbound allocation will not be final until February 2027. In fairness, the CEO has said on the Q2 FY27 call, "I would rather miss a

deal than overpay," and the entry prices support him: Unbound cost about twice its annual revenue. But the record on integration is mixed, and a company that has talked about "five deals lined up" and done one has taught you something about its timelines.

So our independent judgment, in the order you will ask me for it. On franchise and cash conversion, the bull wins. On concentration, the bull wins the direction and the bear wins the level. On AI price give-back, acquired assets and the tape, the bear wins the argument for the next twelve months, though I put the strongest version of the bear case at only about twenty percent. On valuation, nobody wins: at 22.7 times trailing earnings the stock sits on its five-year median and near the top quarter of its ten-year range, which is fair, not cheap. Put those together and you get a good business at a fair price in a weak tape. That is a wait.

Current holding decision: NOT HELD. NOT HELD (0 shares); no current holding to trim or exit.. Zerodha holds 0 shares of MPSLTD, so there is nothing to hold, trim or exit. The business passes our audit, but at the ₹2,297.00 verified close the probability-weighted 12-month value is ₹2,440 (+6.2%) on current earnings and ₹2,254 (-1.9%) on year-end earnings, and reward-to-risk to the ₹2,005 invalidation level is 0.39:1 or worse. The tape sits at the Stage 3/Stage 4 boundary. Only the ₹2,070 end of the support zone clears 1.5:1 on both earnings bases (5.23:1 and 2.63:1). Alert plan: Conditional recommendation alert: price trades into the top of the support zone (₹2,150.00) AND the re-derived base value on year-end earnings is at least ₹2,367.50 (FY27E EBITDA of roughly ₹331 Cr or more) — No shares are held, so nothing is sold. If both conditions hold, treat a limit order for one-third of the starter (about 1.08% of net worth, ₹46,493, 21 shares) as a recommendation. Reward-to-risk here is 1.79:1 on current earnings and only 0.63:1 on year-end earnings, so otherwise skip this level and keep the cash. Use limit orders: the stock trades roughly 15,000 to 19,000 shares a day.; Recommendation alert: price trades into the lower support zone (₹2,070.00, the rising 200-day average); core order of about 2.17% of net worth (two-thirds of the starter) — Two-thirds of the starter (about 2.17% of net worth, ₹92,986, 44 shares) is the core order, only if the business-quality gates in Chapter 9 still pass on the day. Reward-to-risk here is 5.23:1 on current earnings and 2.63:1 on year-end earnings. If the ₹2,150 level also fills, the first fill totals about 3.25% of net worth, half of the 6.5% TIER_2 cap. Nothing is sold.; Cancel alert: daily close below ₹2,005.00 — A daily close below ₹2,005.00 cancels the watch (200-day average lost, Stage 4 confirmed). Keep the cash and re-underwrite only

after a new base forms. If any shares were bought in the zone, this is the stop.; Re-underwrite alert: weekly close above the falling 50-day average (about ₹2,500) on rising volume with the 30-week average rising — This is not an order to buy or add. It re-opens the file: the base value is re-derived from the latest results (today's ₹2,410 base is below ₹2,500), the stop is re-based, and any add must clear 1.5:1 from its own price to the new stop. Capital redeployment: 100.00% to CASH (CASH): HOLD_INR_CASH_EARMARKED_FOR_MPSLTD_SUPPORT; Keep the reviewed capital in cash and earmark about 2.17% of net worth for a limit order at ₹2,070 (plus a conditional 1.08% at ₹2,150 if the re-derived base value is at least ₹2,367.50), cancelling on a daily close below ₹2,005; 0.00% to AJMERA (SHORTLIST): NO_NEW_FUNDING_HERE; AJMERA is already a 4.06% holding with its own IMMEDIATE_BUY dossier; any addition is a portfolio-audit sizing decision, not funded from this review; 0.00% to OUTSIDE (OUTSIDE): NO_OUTSIDE_CANDIDATE_CLEARS_GATES; Peers DATAMATICS, NIITMTS and NEWGEN are Stage 4 with a technical timing gate of CAP_REJECTED; revisit only after each builds a Stage 1 base

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): MPSLTD has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

> **NARRATOR'S REFLECTION: PASSING THE BUSINESS IS NOT THE SAME AS BUYING THE STOCK**
>
> *"A good business at a fair price is an ordinary bet; a good business at a low price is an extraordinary one."*
>
> After five chapters of evidence in favour, the pull is to let the audit decide the purchase. I try to keep two questions apart: is this a good business, and is this a good price. MPS passes the first with real conditions and does not yet pass the second. A six percent expected return at today's price, against a risk more than twice the reward, is not worth taking. On the stricter reading it is a small loss. The place where I would feel paid for taking the risk is ₹2,070, and only conditionally ₹2,150.
>
> - Business quality: COMPOUNDER_PASS, with KPI health PASS_WITH_WATCH.
> - Price: ₹2,297 gives 0.39:1; ₹2,150 gives 1.79:1 (0.63:1 on the stress reading); ₹2,070 gives 5.23:1 (2.63:1).
> - Rule: pay for quality at a price that pays you for the risk.

NARRATOR'S REFLECTION: CASH IS A POSITION

"Waiting is a decision with a price attached."

A thirteen-percent cash balance with a named destination, an alert zone and a cancel level is an active position, not an absence of one. The cost of waiting is that if the stock reclaims ₹2,500 on volume without visiting our zone, we lose the first ten percent of the move. Even then the upgrade alert only re-opens the file; it is not a buy signal. The cost of not waiting is a bear case that takes a quarter of the capital. I would take the first cost every time.

- Limit zone: ₹2,070 (core, two-thirds of the starter) and ₹2,150 (conditional one-third); cancel on a daily close below ₹2,005.
- Upgrade alert: a weekly close above about ₹2,500 means re-underwrite, not add.
- Zero shares held today; 100% of reviewed capital stays in cash.

Three horizons and the evidence that would change our mind

Let me give you the timetable. For the next one to three months the answer is wait. There is no edge in guessing whether the stock lands on the thirty-week average, falls through it, or bounces; the next real evidence arrives with the Q3 FY27 results and the final allocation of the Unbound purchase price by February 2027.

Over six to eighteen months the answer is accumulate, but only on our terms. That means inside the zone of ₹2,070 to ₹2,150, with a stop at a daily close below ₹2,005. It also means starting small. The core order is two thirds of the starter at ₹2,070. The other third, at ₹2,150, is conditional on the freshly re-run base value being high enough. A weekly close above the thirty-week average, or above the falling fifty-day average near ₹2,500, does not trigger an add by itself. It re-opens the file, and any add has to clear one and a half to one on fresh numbers. And the business has to keep its side of the bargain: second-half EBITDA of at least ₹156 crore so the ₹310 crore guidance is reached, Research margin of at least forty-five percent, Corporate Learning margin above eighteen percent.

Over three to five years, this is the horizon where I would be happy to own it. A company that converts profit to cash this reliably, spends so little on capital and has the balance sheet to buy what it likes belongs on a long-term list. What decides whether that holding feels like compounding or like a roller coaster is the price you pay. This stock has fallen fifty-eight

percent, sixty-seven percent and fifty-two percent in three separate stretches since 2015. I will not ask you to forget that.

And here is what would make me cancel the idea, regardless of price. If Research margin dropped below forty-two percent for two quarters, I would know the price give-back had arrived. If the biggest customer grew past twenty percent of revenue, or a top-three customer left or re-tendered at lower rates, I would stop. If Corporate Learning margin fell back under eighteen percent, if any goodwill write-down exceeded ₹25 crore, if the ₹310 crore guide were cut under ₹300 crore, or if the promoter merger changed terms to the public's disadvantage, I would stop. These are not price alerts. They are breaks in the reasons we passed the business.

Sizing it like someone who has been surprised before

Now position size, because the first mistake investors make with a good idea is to size it like a certainty. Our rules put a stock of this conviction between four and six and a half percent of your net worth, with a risk budget of seventy-five basis points. On a net worth of ₹42,91,664, that budget is ₹32,187. At an entry of ₹2,150 and a stop of ₹2,005, your stop is 6.74 percent away, and the raw arithmetic says you could hold eleven percent of your net worth. The tier cap stops that at six and a half.

I want you to hold at most half of that cap, about three and a quarter percent, which is ₹1,39,479. And I want you to build it in two pieces. The core piece is two thirds, about two and a sixth percent of your net worth, at ₹2,070: 44 shares for ₹91,080. The other third, at ₹2,150, is conditional. It clears our reward-to-risk hurdle only on the generous earnings reading, so you place it only if the freshly re-run base value is at least ₹2,367.50 on the stricter reading. That needs FY27 EBITDA of roughly ₹331 crore or more. If not, you skip it and keep the cash. If both fill, that is 65 shares for ₹1,36,230. If the stock then closes below ₹2,005 and you leave, you lose ₹5,905, about fourteen hundredths of a percent of your net worth. If it falls all the way to our bear case of ₹1,630, the full starter loses about ₹30,280, just inside the whole risk budget, while a full-size position would lose more than twice that. That is why we start small.

Three facts drove the half-size. This stock has dropped more than fifty percent three times. It trades only fifteen to nineteen thousand shares on a typical day. And a stop 6.74 percent away on such a stock can be jumped over by a gap on a bad day. Your sixty-five shares are less than half a percent of a typical day's volume, so you can get in without moving the price. Getting out is the harder part, which is why I treat the stop as an alert I review daily, not an order I forget. You have ₹5,74,582 in cash, 13.4 percent of net worth. Even the full starter uses less than a quarter of it. You can afford to be patient.

The promoter merger: a footnote that is not yet a footnote

There is a corporate item sitting in the margin of this story, and I want you to look at it before you decide it is boring. The company's promoter is a holding company, ADI BPO Services, which owns 68.34% of MPS. The two are merging. ADI BPO's MPS shares will be cancelled and the same number issued to ADI BPO's own shareholders. MPS says this does not dilute you: the public keeps 54,15,201 shares, 31.66% of the register, and the equity meeting approved the scheme, with the public non-institutional holders voting 1,52,327 for and 50 against.

What I would verify, in order: whether the court has given its final sanction (a hearing was listed for 4 November and I could not find the result; the headline that says the tribunal "approves" the merger describes the earlier, procedural step), the exact share-swap ratio and the valuation and fairness reports that sit on the company's website, whether anything other than the MPS stake comes across, and who the ADI BPO shareholders are.

Why the last one matters to a buyer: today one holding company owns that block. After the merger, ADI BPO's own shareholders own MPS shares directly. If some of them sold, even one percent of MPS is about a hundred and seventy-one thousand shares, nearly twelve days of a typical day's volume. I am not predicting a sale. I am telling you that this is the sort of overhang that shows up after a price has been paid, which is one more reason to start with half a position.

If I had to explain this to a friend

Imagine we are having coffee and a friend asks whether she should buy MPS. I would say: it is a very good business that I would be glad to own, and I would not buy it today. It has been around for fifty-six years, does the unglamorous work of getting research papers and textbooks ready for the biggest publishers, makes about as much cash as it makes profit, and has no debt. The newest quarter was its strongest ever.

But the shares have already run, then fallen, and they are now in a weak patch. At today's price I would be risking far more than I could make. If it came back to around ₹2,070, where the 200-day average line is, I would be risking ₹65 to make ₹340 on a generous forecast and ₹171 on a stricter one. That is a deal. A little higher, at ₹2,150, the deal only works if the next quarter's numbers lift the forecast first.

And I would not put in more than half of my normal amount at first, because this stock has dropped by more than half three times, and its biggest risk is not that the business breaks but that customers who watch AI make production cheaper ask for a lower price at the next big renewal. That is the thing I might be wrong about. If I am wrong in one direction, I miss the first ten percent of a rally. If I am wrong in the other, I avoid a bad trade. I will take that bargain, and I will keep the cash ready.

Notes, Filings & Primary Sources

1. MPS Limited 56th Annual Report FY2025-26 (consolidated + standalone audited statements, MD&A, letter to shareholders) — MPS Limited / transcript host (as of 2026-03-31): https://www.mpslimited.com/investors/MPS-Annual-Report-2025-26.x26787.pdf
2. MPS Limited Q2 FY2027 earnings call transcript (4 Nov 2026) — MPS Limited / transcript host (as of 2026-11-04): https://alphastreet.com/india/mps-limited-mpsltd-q2-2027-earnings-call-transcript/
3. Almost 50 Years of MPS History (company history / legacy page) — MPS Limited (as of 2026-11): https://www.mpslimited.com/company-history-back/
4. MPS History - company event timeline (Economic Times Markets); used for corporate events only — The Economic Times (as of 2026-11): https://economictimes.indiatimes.com/mps-ltd/infocompanyhistory/companyid-12458.cms
5. Tata Industries sells e-learning unit to listed digital publishing firm — VCCircle (as of 2018-04-25): https://www.vccircle.com/tata-industries-sells-e-learning-unit-to-listed-digital-publishing-firm
6. MPS Re-Structuring - For Regulatory Purpose? (M&A Critique) — M&A Critique (Mergers India) (as of 2018-04-09): https://mnacritique.mergersindia.com/mps-acquisition-adi-bpo-media/
7. MPS Limited consolidated 10-year tables (price-blind snapshot of Screener.in) — Screener.in (price-blind snapshot) (as of 2026-11-13): https://www.screener.in/company/MPSLTD/consolidated/
8. MPS Limited Q2 FY2025 earnings call transcript (Nov 2024) — MPS Limited / transcript host (as of 2024-11): https://alphastreet.com/india/mps-limited-mpsltd-q2-2025-earnings-call-transcript/
9. Scheme of Amalgamation - MPS Ltd. (investor page, 2025-26 scheme and withdrawn 2017-18 scheme) — MPS Limited (as of 2026-11): https://www.mpslimited.com/scheme-of-amalgamation/
10. MPS Limited Q1 FY2026 earnings call transcript (Aug 2025) — MPS Limited / transcript host (as of 2025-08): https://alphastreet.com/india/mps-limited-mpsltd-q1-2026-earnings-call-transcript/
11. Voting Results with Scrutinizer Report - NCLT-convened meeting of equity shareholders, 22 August 2026 — MPS Limited (exchange filing) (as of 2026-08-22): https://www.mpslimited.com/Voting-Results-with-Scrutinizer-Report-of-Shareholders-Meeting.x26787.pdf
12. MPS Limited Annual Report 2019-20 ('Resilience') — MPS Limited (as of 2020-03-31): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Annual-report_2019-20.pdf
13. MPS Completes Acquisition of HighWire Press to Accelerate Platform Business — MPS Limited (Business Wire release) (as of 2020-07-01): https://www.mpslimited.com/press/mps-completes-acquisition-of-highwire-press-to-accelerate-platform-business/
14. MPS Limited Annual Report 2020-21 ('T.I.M.E. to THRIVE') — MPS Limited (as of 2021-03-31): https://www.mpslimited.com/Annual-Report-MPS-Limited-2020-21.x26787.x26787.pdf
15. MPS Limited 54th Annual Report FY2023-24 — MPS Limited / transcript host (as of 2024-03-31): https://www.mpslimited.com/investors/MPS-Annual-Report-2023-24.x26787.pdf
16. MPS Limited 55th Annual Report FY2024-25 — MPS Limited / transcript host (as of 2025-03-31): https://www.mpslimited.com/investors/MPS-Annual-Report-2024-25.x26787.pdf
17. MPS Limited Q2 FY2026 earnings call transcript (BSE/NSE filing, Nov 2025) — MPS Limited / transcript host (as of 2025-11-12): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Stx_MPS-Earnings-Call-Transcript-12Nov-2025.pdf
18. MPS Limited Q3 FY2026 earnings call transcript (Feb 2026) — MPS Limited / transcript host (as of 2026-02): https://alphastreet.com/india/mps-limited-mpsltd-q3-2026-earnings-call-transcript/

19. MPS Limited Q4 & FY'26 Earnings Conference Call transcript (18 May 2026), filed with NSE/BSE on 25 May 2026 — MPS Limited (exchange filing, Regulation 30) (as of 2026-05-18): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Earnings-Call-Transcript-Q4_May18-2026.pdf
20. MPS Limited Q4 FY2025 earnings call transcript (May 2025) — MPS Limited / transcript host (as of 2025-05): https://alphastreet.com/india/mps-limited-mpsltd-q4-2025-earnings-call-transcript/
21. MPS Acquires Unbound Medicine, Expands into Healthcare Knowledge Management — Unbound Medicine, Inc. / MPS Limited joint release (as of 2026-02-12): https://www.unboundmedicine.com/news/unbound_medicine_acquired_by_mps_limited
22. MPS Limited Q3 FY2025 earnings call transcript (Feb 2025) — MPS Limited / transcript host (as of 2025-02): https://alphastreet.com/india/mps-limited-mpsltd-q3-2025-earnings-call-transcript/
23. Genpact (company history: GE Capital International Services to independent company) — Wikipedia (as of 2026-08-29): https://en.wikipedia.org/wiki/Genpact
24. MPS Limited Investor Presentation (FY2025-26; mostly graphics, short extracted text) — MPS Limited / transcript host (as of 2026-03-31): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Investor-Presentation1.pdf
25. MPS Limited Q1 FY2027 earnings call transcript (Aug 2026) — MPS Limited / transcript host (as of 2026-08): https://alphastreet.com/india/mps-limited-mpsltd-q1-2027-earnings-call-transcript/
26. MPS DigiCore: smart, cloud-based digital publishing platform — MPS Limited (as of 2026-11): https://www.mpslimited.com/digicore/
27. MPS Limited corporate website: platforms, content solutions, learning solutions and client logo wall — MPS Limited (as of 2026-11): https://www.mpslimited.com/
28. AJE (American Journal Experts), powered by MPS: services and price list — AJE LLC d/b/a MPS NA LLC (as of 2026-11): https://www.aje.com/
29. Springer Nature donates its unique AI tool that identifies problematic text to publishing community (press release, 30 Apr 2025) — Springer Nature (as of 2025-04-30): https://group.springernature.com/gp/group/media/press-releases/research-integrity-ai-tool-donation/27774818
30. Emerging AI dilemmas in scholarly publishing (COPE topic discussion) — Committee on Publication Ethics (COPE) (as of 2026-03): https://publicationethics.org/topic-discussions/emerging-ai-dilemmas-scholarly-publishing
31. MPS Acquires Unbound Medicine, Expands into Healthcare Knowledge Management (press release, 12 Feb 2026) — Unbound Medicine, Inc. and MPS Limited (as of 2026-02-12): https://www.unboundmedicine.com/news/unbound_medicine_acquired_by_mps_limited
32. Unbound Medicine: products by profession and custom solutions — Unbound Medicine, Inc. (as of 2026-11): https://www.unboundmedicine.com/
33. MPS Limited: Locations and offices — MPS Limited (as of 2026-11): https://www.mpslimited.com/locations/
34. MPS eLearning Solutions: custom eLearning, micro-learning, mobile learning — MPS Limited (as of 2026-11): https://www.mpslimited.com/elearning-solutions/
35. TOPSIM: experiential learning with business simulations — TOPSIM GmbH (as of 2026-10): https://www.topsim.com/en/
36. Screener.in MPS Limited consolidated financial tables (blind snapshot, no price data used) — Screener.in (as of 2026-11): https://www.screener.in/company/MPSLTD/consolidated/
37. Appen Limited FY24 full year results presentation — Appen Limited (as of 2025-02): https://cdn.prod.website-files.com/656a6f5ca4824808211181c5/67c1069cdd339c1a69398d80_Appen%20FY24%20full%20year%20results%20presentation_
38. HighWire Press - Academic publishing solutions — HighWire Press (as of 2026-11): https://www.highwirepress.com/

39. Editage - English Editing Services — Editage (as of 2026-11): https://www.editage.com/
40. Enago - English Editing Services — Enago (as of 2026-11): https://www.enago.com/
41. Research Integrity | Research Hub | Springer Nature — Springer Nature (as of 2026): https://www.springernature.com/gp/advancing-discovery/research-integrity
42. MPS DigiCore - Smart, Cloud-Based Digital Publishing Platform — MPS Limited (as of 2026-11): https://www.mpslimited.com/digicore/
43. Reimagining Scholarly Publishing Workflow: A High-Level Map of What Changes Next — The Scholarly Kitchen (SSP) (as of 2025-11-20): https://scholarlykitchen.sspnet.org/2025/11/20/reimagining-scholarly-publishing-workflow-a-high-level-map-of-what-changes-next
44. Silverchair: Technology partnership for independent publishers — Silverchair (as of 2026-11): https://www.silverchair.com/
45. A Platform Comes Apart: Part 1 — The Scholarly Kitchen (SSP) (as of 2026-06-22): https://scholarlykitchen.sspnet.org/2026/06/22/a-platform-comes-apart-part-1
46. MPS Acquires Unbound Medicine, Expands into Healthcare Knowledge Management (press release) — PR Newswire / MPS Limited (as of 2026-02-12): https://www.prnewswire.com/news-releases/mps-acquires-unbound-medicine-expands-into-healthcare-knowledge-management-302686329.html
47. Transcript of the Conference Call on the Acquisition of Unbound Medicine, Inc. (18 Feb 2026) — MPS Limited (as of 2026-02-18): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Transcript-of-the-Conference-Call-on-the-Acquisition-of-Unbound-Medicine-Inc..pdf
48. Skillsoft Reports Financial Results for the Third Quarter of Fiscal 2026 — Skillsoft Corp. (as of 2025-12-10): https://investor.skillsoft.com/news-events/press-releases/detail/436/skillsoft-reports-financial-results-for-the-third-quarter-of-fiscal-2026
49. STM Global Brief 2021 – Economics & Market Size — STM (International Association of Scientific, Technical and Medical Publishers) (as of 2021): https://s3.eu-west-2.amazonaws.com/stm.offloadmedia/wp-content/uploads/2024/08/10032814/2022_08_24_STM_White_Report_a4_v15.pdf
50. News & Views: Market Sizing Update 2026 — Delta Think (as of 2026): https://www.deltathink.com/news-views-market-sizing-update-2026
51. Springer Nature's 2025 Annual Report shows increased impact and value — Springer Nature Group (as of 2026-03-31): https://www.springernature.com/gp/group/media/press-releases/2025-annual-report-shows-increased-impact-and-value/52228082
52. Very strong business performance delivered in 2025. Continued growth expected in 2026 (FY 2025 results press release) — Springer Nature Group (as of 2026-03-17): https://www.springernature.com/gp/group/media/press-releases/fy-2025-results/27849734
53. Guest Post: Artificial Intelligence in Scholarly Publishing: Are We Moving Faster Than the Evidence? — The Scholarly Kitchen (SSP) (as of 2026-10-14): https://scholarlykitchen.sspnet.org/2026/10/14/guest-post-artificial-intelligence-in-scholarly-publishing-are-we-moving-faster-than-the-evidence
54. Exclusive: Hindawi and Wiley to retract over 500 papers linked to peer review rings — Retraction Watch (as of 2022-09-28): https://retractionwatch.com/2022/09/28/exclusive-hindawi-and-wiley-to-retract-over-500-papers-linked-to-peer-review-rings
55. Wiley Launches Paper Mill Detection Tool after Losing Millions Due to Fraudulent Journal Submissions — Dark Daily (as of 2024-05-06): https://www.darkdaily.com/2024/05/06/wiley-launches-paper-mill-detection-tool-after-losing-millions-due-to-fraudulent-journal-submissions
56. STM Integrity Hub | Detecting Paper Mills at Scale — STM (as of 2026): https://stm-assoc.org/what-we-do/strategic-areas/research-integrity/integrity-hub
57. Integra - Publishing Services for Books, Journals, K-12, Higher Education and ELT — Integra (as of 2026-11): https://www.integra.co.in/

58. codemantra - AI That Makes Content Accessible and Publication Ready — codemantra (as of 2026-11): https://www.codemantra.com/
59. S4Carlisle Publishing Services — S4Carlisle (as of 2026-11): https://www.s4carlisle.com/
60. History of LTG - Learning Technologies Group — Learning Technologies Group (as of 2026): https://ltgplc.com/about/history-of-ltg
61. About Straive — Straive (as of 2026-11): https://www.straive.com/about-us
62. Datamatics press releases - financial results (FY26 revenue Rs 1,987.2 crore) — Datamatics Global Services Ltd (as of 2026-05-21): https://www.datamatics.com/press-release-list/tag/financial-results
63. TNQTech | A Lumina Datamatics Company | Scholarly Publishing — TNQTech (as of 2026-11): https://www.tnqtech.com/
64. Aptara - Digital Content Transformation & AI Learning Solutions — Aptara (as of 2026-11): https://www.aptaracorp.com/
65. Wolters Kluwer 2025 Full-Year Report — Wolters Kluwer N.V. (as of 2026-02-25): https://assets.contenthub.wolterskluwer.com/api/public/content/3118646-2026-02-25-wolters-kluwer-2025-full-year-results-7391945524?v=2c966da9
66. Certifications - MPS Limited — MPS Limited (as of 2026-11): https://www.mpslimited.com/certifications/
67. RWS Holdings plc Results for the year ended 30 September 2025 (Final Results RNS) — RWS Holdings plc via Investegate (as of 2025-12-11): https://www.investegate.co.uk/announcement/rns/rws-holdings--rws/final-results/9289229
68. MPS Earnings Presentation Q2 H1 FY27 — MPS Limited (as of 2026-11-04): https://d12ux7ql5zx5ks.cloudfront.net/wp-content/uploads/Earning-Presentation-Q2-H127.pdf
69. Investors Overview - MPS Limited — MPS Limited (as of 2026-11): https://www.mpslimited.com/investors-overview/
70. Expect Organic Revenue Growth Of 10-12% Across The Content Business In FY25: MPS Limited | CNBC TV18 — CNBC-TV18 (YouTube) (as of 2024): https://www.youtube.com/watch?v=9ZPxfnS6px8
71. Margin Erosion Happened In Q1 Due To Acquisition Done In March 2024: MPS | CNBC TV18 — CNBC-TV18 (YouTube) (as of 2024): https://www.youtube.com/watch?v=EXlf0KYTcg8
72. AI in Clinical Decision Support | Wolters Kluwer (UpToDate Expert AI) — Wolters Kluwer (as of 2026-11): https://www.wolterskluwer.com/en/solutions/uptodate/ai-clinical-decision-support
73. Gold OA continues to drive open access growth as the market matures — STM Association (as of 2026-09-07): https://stm-assoc.org/gold-oa-continues-to-drive-open-access-growth-as-the-market-matures/
74. More than 10,000 research papers were retracted in 2023 - a new record — Nature (Richard Van Noorden) (as of 2023-12-12): https://www.nature.com/articles/d41586-023-03974-8
75. Research Publishing Solutions & Services (Straive) — Straive (as of 2026-11): https://www.straive.com/science-and-research-content-solutions/
76. Screener.in consolidated 10-year tables for MPS Limited (price-blind snapshot of P&L, balance sheet, cash flow, ratios, quarters, shareholding) — Screener.in (aggregator; audited annual reports prevail where they differ) (as of 2026-09): https://www.screener.in/company/MPSLTD/consolidated/
77. Past Service Cost Under New Labour Codes: Ind AS 19 and 34 Explained — Taxmann (as of 2025-12-31): https://www.taxmann.com/post/blog/past-service-cost-under-new-labour-codes-ind-as-19-and-34-explained
78. MPS Limited (MPSLTD) Earnings Call Transcript, 18 May 2026 (Q4 FY26) — EarningsAPI (machine transcript; used only for clearly legible statements) (as of 2026-05-18): https://earningsapi.io/transcripts/mps-limited_mpsltd_earnings_call_transcript_2026-05-18

79. MPS Acquires US Firm Unbound Medicine for $16.5M, Eyes Healthcare Tech Expansion — Whalesbook (as of 2026-02-04): https://www.whalesbook.com/news/English/industrial-goodsservices/MPS-Acquires-US-Firm-Unbound-Medicine-for-dollar165M-Eyes-Healthcare-Tech-Expansion/69838298f5a3f0ebac9e81f5
80. MPS Limited completes $16.5 million acquisition of Unbound Medicine, Inc. — Smallcap Spotlight (as of 2026-02-18): https://smallcapspotlight.in/news/mps-limited-completes-16-5-million-acquisition-of-unbound-medicine-inc/
81. MPS acquires AJE to scale AI capabilities and enter B2C market (press release, 29 Feb 2024) — MPS Limited (as of 2024-02-29): https://www.mpslimited.com/press/mps-acquires-aje-to-scale-ai-capabilities-and-enter-b2c-market/
82. MPS moves closer to ADI BPO merger after shareholder approval — BPO News (as of 2026-09-23): https://bponews.com/daily-insight/mps-moves-closer-to-adi-bpo-merger-after-shareholder-approval/
83. Scheme of Amalgamation (ADI BPO Services Limited with MPS Limited): investor disclosure page — MPS Limited (as of 2026-09-16): https://www.mpslimited.com/scheme-of-amalgamation/
84. Audit Trail Compliance under Rule 3(1) and Rule 11(g): A Practitioner's Guide — TaxGuru (article by CA Karan Shah) (as of 2026-09-11): https://taxguru.in/company-law/audit-trail-compliance-rule-3-1-rule-11-practitioners-guide.html
85. Thomson Reuters, RELX, and Wolters Stocks Crushed After Anthropic Debuts Claude Legal Plug-In (Morningstar Equity Research, 4 Feb 2026) — Morningstar (as of 2026-02-04): https://www.morningstar.com/stocks/reuters-relx-wolters-stocks-crushed-after-anthropic-debuts-claude-legal-plug-in
86. IT Stocks Meltdown 2026: AI Fears Wipe 1.9 Lakh Crore Off Nifty IT (Multibagg, 16 Feb 2026) — Multibagg AI market pulse (as of 2026-02-16): https://www.multibagg.ai/market-pulse/articles/it-stocks-crash-ai-fears-2026-cmlowh2mdpgiyme0jrdpx2ix1
87. Nifty IT Has Crashed Almost 24% From Its Peak. Should You Buy or Stay Away? (Sahi, published 16 Mar 2026, updated 25 Jun 2026) — Sahi (broker blog) (as of 2026-03-16): https://www.sahi.com/blogs/nifty-it-has-crashed-28-from-its-peak-biggest-fall-since-2008-should-you-buy-or-stay-away
88. Innodata Reports Record Third Quarter 2026 Results (5 Nov 2026) — Innodata Inc. (as of 2026-11-05): https://investor.innodata.com/news/news-details/2026/Innodata-Reports-Record-Third-Quarter-2026-Results/default.aspx
89. Wolters Kluwer 2026 Nine-Month Trading Update (4 Nov 2026) — Wolters Kluwer N.V. (as of 2026-11-04): https://assets.contenthub.wolterskluwer.com/api/public/content/3891876-2026-11-04-wolters-kluwer-nine-month-2026-trading-update-575ee0543d?v=d8540031
90. MPS Limited daily OHLCV history and verified NSE ledger to 12 Nov 2026 (MPSLTD.NS) — Yahoo Finance / Research Desk ledger (as of 2026-11-12): https://finance.yahoo.com/quote/MPSLTD.NS/history/
91. TradingView NSE:MPSLTD technicals and Research Desk stage snapshot (13 Nov 2026 pull, after the NSE close) — TradingView (as of 2026-11-13): https://www.tradingview.com/symbols/NSE-MPSLTD/technicals/
92. Stan Weinstein's Secrets For Profiting in Bull and Bear Markets: The Four-Stage Map of Every Stock's Life — Thierry from arvy (Substack) (as of 2026-06-11): https://thierryvonarvy.substack.com/p/stan-weinsteins-secrets-for-profiting
93. MPS Ltd share price and shareholding pattern (Screener, consolidated) — Screener.in (as of 2026-11-13): https://www.screener.in/company/MPSLTD/consolidated/
94. TheWrap Stage 2 data tool (weekly list of Indian stocks in Stage 2, as of 8 Nov 2026) — TheWrap (as of 2026-11-08): https://thewrap.in/data-tools/stage2
95. MPS issues addendum on ADI BPO merger, confirms no public dilution (ScanX, 5 Aug 2026) — ScanX (Raise Securities) (as of 2026-08-05): https://scanx.trade/stock-market-news/companies/mps-issues-addendum-on-adi-bpo-merger-confirms-no-public-dilution/47487834

96. NCLT approves MPS Ltd, ADI BPO merger scheme after shareholder nod (ScanX, 19 Sep 2026) — ScanX (Raise Securities) (as of 2026-09-19): https://scanx.trade/stock-market-news/companies/nclt-approves-mps-ltd-adi-bpo-merger-scheme-shareholder-nod/51304029
97. Scheme of Amalgamation (ADI BPO Services Limited with MPS Limited): investor page listing the 2025-26 scheme documents — MPS Limited (as of 2026-11): https://www.mpslimited.com/scheme-of-amalgamation/
98. MPS nears ADI BPO merger as NCLT clears a step (Outsource Accelerator, 22 Sep 2026, updated 28 Oct 2026) — Outsource Accelerator (citing The Globe and Mail / TipRanks) (as of 2026-10-28): https://news.outsourceaccelerator.com/mps-adi-bpo-merger/
99. Screener.in — MPS Limited consolidated 10-year statements, shareholding pattern and ratios (blind snapshot retrieved 2026-11-13; price-blind use in Chapters 1 to 6).
100. TradingView Scanner Engine — NSE:MPSLTD, NSE:DATAMATICS, NSE:NIITMTS and NSE:NEWGEN technical and valuation snapshot (pulled 2026-11-13 after the NSE close; ledger-dated 2026-11-12).
101. Same-session Portfolio Research Desk ledgers — facts_IN_2026-11-12.json, positions_IN_2026-11-12.json, stage2_IN_2026-11-12.json, options_IN_MPSLTD.json and data/shortlist/IN.json.

• • •

This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

Verified against the IN Research Ledger • Session Cutoff 2026-11-12